

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

Before the

FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

20230930-DK-BUTTERFLY-1, INC. F/K/A BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

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“The primary objective of the shipping laws administered by the FMC is to protect the shipping industry’s customers, not members of the industry.” *Boston Shipping Ass’n, Inc. v. Fed. Mar. Comm’n*, 706 F.2d 1231, 1238 (1st Cir. 1983).



Pursuant to Rule 214 of the Federal Maritime Commission’s (“FMC” or the “Commission”) Rules of Practice and Procedure (the “Rules”), 46 C.F.R. Section 502.214, and the Presiding Officer’s August 23, 2024 Scheduling Order in this action, Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“Complainant” or “BBBY”), by and through its undersigned attorneys, hereby submits its Opening Brief.

INTRODUCTION

During the COVID-19 pandemic, BBBY and other American importers faced unprecedented supply chain challenges. BBBY ultimately was forced into bankruptcy. Respondents, by stark contrast, took advantage of the situation to rake in unprecedented, sky-high profits.

The record in this proceeding sheds light on how Respondents were able to benefit so asymmetrically from a global pandemic. In short, Respondents deliberately created and fostered a vicious cycle, falling short on their service commitments under fixed service contracts, and forcing

customers to pay huge premiums or resort to the spot market to obtain space. This increased demand for spot market space pushed prices higher and, in turn, gave Respondents even more incentive to violate their service commitments. All the while, Respondents took advantage of market conditions, including widespread port delays exacerbated by Respondents' own decisions and strategies, to charge exorbitant fees and further pad their bottom line. The result was an enormous windfall for Respondents, at the expense of BBY and other importers. The American public ultimately bore the cost of Respondents' profiteering, in the form of increased inflation and the loss of iconic American businesses like BBY.

In the words of Respondents' own expert witness, Dr. Lars Jensen, this vicious cycle was made possible because recent consolidation and alliance activity among ocean liners has reduced the competitive landscape to a "de facto oligopoly", in which carriers can effectively coordinate to constrain supply, manage prices, and avoid competing in what he calls "price wars". In the early days of the pandemic, this newfound oligopolistic power was evident in massive, simultaneous blank sailing events, during which Jensen opined that "the shipping lines are consciously deciding not to take cargoes from each other", that prevented container rates from slipping even in the face of supply disruptions and shutdowns. In Jensen's words, this new concentrated environment led to a situation in which "the shipping lines . . . clearly said goodbye to the old philosophy about it being exclusively a matter of conquering market shares and volumes at all costs"—*i.e.*, engaging in authentic, efficient market competition—and instead shifted to a policy of maximizing profits at the expense of shippers.

This decision—to "say goodbye" to the traditional model of complying with the Shipping Act of 1984, as amended, 46 U.S. Code Sections 40101 *et seq.* (the "Shipping Act"), and honoring service commitments, in favor of manipulation and price-gouging on an unprecedented scale—

lies at the heart of the unreasonable practices challenged in this proceeding. The ultimate result, as Respondents' own expert Jensen noted in a retrospective LinkedIn post from 2024, was an environment in which ocean carriers found it was "detrimental to attempt to honour contractual commitments", and instead abandoned their service commitments to shift freight to market price levels. Jensen asked the rhetorical question: "*Why should carriers honour contractual commitments when rates go up?*"

The answer, of course, is that the Shipping Act requires it. The Federal Maritime Commission, which enforces the Shipping Act, stands as the bulwark defending American shippers against unlawful, unreasonable, and abusive actions by ocean carriers. Respondents' desire for profitability, even at the spectacular price-gouging levels seen during the pandemic, does not excuse them from their obligations under the Shipping Act.

As discussed herein, the evidence demonstrates that Respondents' conduct constitutes at least five violations of the Shipping Act, including (but not limited to) the following:

- **Violations of 46 U.S.C. § 41102(c) Relating to OOCL's Unjust and Unreasonable Failure to Honor Service Commitments (Count I):**
 - ***Failure To Meet Service Commitments and Diversion of Space to the Highest Bidder:*** During the pandemic, OOCL failed to meet its service commitments to BBY and other service contract customers by falling short of its Minimum Quantity Commitment ("MQC") obligations and redirecting contracted space to other customers at higher prices.
 - ***Failure to Abide by Rates in Service Contracts and Imposition of Excessive and Unreasonable Surcharges and Premium Rates:*** For the cargo it did ship for BBY, OOCL also unreasonably imposed excessive surcharges and premium rates to bring effective rates in line with the skyrocketing spot market rates prevailing during the pandemic.
- **Violations of 46 U.S.C. § 41102(c) & 46 C.F.R. § 545.5 Relating to OOCL's Unjust and Unreasonable D&D Charges (Count II):** OOCL took advantage of the unprecedented supply chain dislocations and resulting congestion at marine terminals around the world, including the U.S. and, in particular, the port of Los Angeles / Long Beach, to assess unreasonable detention and demurrage charges on BBY, even though such charges arose from circumstances outside of BBY's control (and despite BBY's

enormous efforts to avoid or mitigate such charges) and thus did not function to incentivize the free flow of containers, as required under FMC rules and regulations. The D&D charges at issue during the relevant time period in this action were also untethered to any direct or opportunity costs to OOCL associated with the underlying containers, and were objectively excessive and unreasonable.

- **Violations of 46 U.S.C. § 41104(a)(2) Relating To OOCL's Failure to Provide Service in Accordance with the Service Contracts (Count III):** OOCL's practices described above were inconsistent with the terms and OOCL's service commitments in its Service Contracts with BBY as well as historical industry standards and practices.
- **Retaliation in Violation of 46 U.S.C. § 41104(a)(3) (Now Codified at 46 U.S.C. § 41102(d)) (Count IV):** When BBY raised concerns with OOCL's unlawful practices, and threatened OOCL with claims before the FMC, OOCL responded by unlawfully retaliating against BBY. After BBY engaged in protected activity by challenging OOCL's charges and practices, OOCL retaliated by falling short on its service commitments to BBY, imposing and refusing to waive enormous unreasonable charges, deprioritizing BBY for space and refusing to offer sufficient space in the following shipping year's service contract negotiations.
- **Violations of 46 U.S.C. § 41104(a)(10) Relating To OOCL's Unreasonable Refusals to Deal (Count V):** Through its deliberate scheme to fail to meet its service commitments, its explicit *quid pro quo* demand for excessive surcharges and premium pricing, its deliberate deprioritization of BBY and its refusal to quote sufficient space for BBY in the 2022-2023 shipping year, OOCL engaged in unlawful and unreasonable refusals to deal.

I. THE PARTIES

A. Bed Bath & Beyond Inc. (Complainant)

Complainant 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. is a corporation existing under the laws of New York with a mailing address of P.O. Box 1596, Union, New Jersey 07083, reachable via telephone via (954) 468-2444, and via its undersigned counsel's telephone numbers and email addresses listed below. (C5.) As to further information regarding itself, BBY refers to C5-9 of the FOF/COL.

B. OOCL (Respondent)

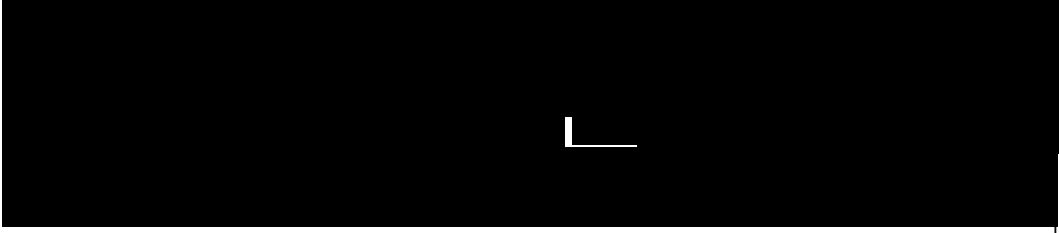
Respondent Orient Overseas Container Line Limited is a company existing under the laws of Hong Kong with its principal place of business located at 25 Harbour Road, 31st Floor Harbour Centre, Wanchai, Hong Kong, acting in the United States by and through its agent, OOCL (USA)

Inc. (“OOCL (USA)”), a company existing under the laws of the State of New York with its principal place of business located at 10913 South River Front Parkway, Suite 200, South Jordan, UT 84095. (C10.) Respondent OOCL (Europe) Limited (“OOCL (Europe)”) is a company existing under the laws of the United Kingdom with its principal place of business located at OOCL House, Levington Park, Bridge Road, Levington Suffolk, IP10 0NE, United Kingdom, acting in the United States by and through its agent, OOCL (USA). (C13.)

Respondents Orient Overseas Container Line Limited and OOCL (Europe) are referred to herein collectively as “OOCL” or “Respondents.” As to further information regarding OOCL, BBY refers to C10-20 of the FOF/COL.

II. The Service Contracts

BBY and OOCL entered into the three service contracts relevant to this matter (collectively, the “Service Contracts”):

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PROPOSED FINDINGS OF FACTS AND CONCLUSIONS OF LAW

BBBY’s proposed findings of fact and conclusions of law (the “FOF/COL”), filed concurrently herewith, are incorporated by reference. Citations to the FOF/COL are denoted by (“C___”).

LEGAL FRAMEWORK

I. Count I: Violation of 46 U.S.C. § 41102(c) (“Unjust and Unreasonable Failure to Meet Service Commitments under the Service Contracts”)

Section 41102(c) of the Shipping Act provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” (C637 (quoting 46 U.S.C. § 41102(c)).) To recover reparations for a violation of section 41102(c), the claimant must demonstrate that: “(a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property; (d) The practice or regulation is unjust or unreasonable; and (e) The practice or regulation is the proximate cause of the claimed loss.” (C638 (quoting 46 C.F.R. § 545.4; citing *Ports Am. Chesapeake, LLC v. APS E. Coast*, FMC Docket No. 23-04, 2023 WL 5375588, at *9 (ALJ Aug. 16, 2023)).)

“*Unreasonable* means ocean common carrier conduct that unduly restricts the ability of shippers to meaningfully access ocean carriage services from that ocean common carrier”. (C639

(quoting 46 C.F.R. § 542.1).) Section 542.1, which was issued by the FMC after the passage of the Ocean Shipping Reform Act of 2022, Pub. L. 117–146, 136 Stat. 1272 (June 16, 2022) (“OSRA 2022”), identified several well-settled illustrative examples of unreasonable refusals to deal, including refusals linked to “[v]essel capacity limitations not justified by legitimate transportation factors” and, in the negotiation context, “[q]uoting rates that are so far above current market rates they cannot be considered a good faith offer or an attempt at engaging in good faith negotiations”). (C640 (quoting 46 C.F.R. § 542.1).) The Commission has also found that “failing to maintain or provide booking reports to customers, systematically preferring higher-priced cargo over performing on its service contracts, [or] deliberately coercing surcharges including [peak season surcharges (“PSS”)] as a precondition to carry previously contracted cargo” state claims of unreasonable practices under 46 U.S.C. Section 41102(c). (C646 (quoting *MCS Indus., Inc. v. MSC Mediterranean Shipping Co. SA*, FMC Docket No. 21-05, 2022 WL 458569, at *4, 6 (ALJ Feb. 4, 2022).)

These examples are consistent with long-standing FMC guidance and relevant jurisprudence. As the FMC’s then-Managing Director, Edward Walsh, emphasized in an April 1999 letter, “*a common carrier’s treatment of shippers must be based on reasonableness, equity and fairness irrespective of whether a carrier’s operation is progressing normally or is experiencing strain due to external conditions such as increased demand for space, acts of God, or labor strikes.*” (C641 (quoting 1999 Walsh Letter at 1 (emphasis added).) Mr. Walsh also emphasized the *obligation of a “common carrier to accept and transport all commodities that are tendered to it which it holds itself out as engaged in carrying and allow access to competitive markets on relatively equal terms.”* (C642 (quoting 1999 Walsh Letter at 2-3 (quoting *Harp v. Choctaw, O. & G. R. Co.*, 125 F. 445, 449 (8th Cir. 1903)) (emphasis added).) The letter

emphasized that, under the Shipping Act, reasonableness is assessed via a “*standard of fairness which disallows a common carrier from refusing to furnish service to shippers solely on the grounds that to continue to provide the service would be inconvenient or less profitable*”. (C643 (quoting 1999 Walsh Letter at 3 (quoting *Ethan Allen v. Maine Cent. R.R. Co.*, 431 F. Supp. 740, 743 (D. Vt. 1977)) (emphasis added).) Moreover, “*external factors that may be affecting the carrier’s performance*” do not relieve a “*common carrier’s duty to the public*”. (C644 (quoting 1999 Walsh Letter at 3 (emphasis added).) Fundamentally, the Commission has long established that, in times of shortage, under FMC precedents the proper method for a common carrier to allocate space is by “employing *a standard of equity that would lead to apportionment that is ‘just and reasonable’ rather than one that would result in the greatest amount of space going to the highest bidder*”. (C645 (quoting 1999 Walsh Letter at 3 (quoting *Banana Distributors v. Grace Line*, 5 F.M.B. 615, 622 (1959)) (emphasis added).)

II. Count II: Violation of 46 U.S.C. § 41102(c) & 46 C.F.R. § 545.5 (“Unjust and Unreasonable Assessment of Detention and Demurrage Charges”)

In addition to violations of Section 41102(c), Count II alleges violations of 46 C.F.R. § 545.5, which prohibits common carriers from “fail[ing] to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

III. Count III: Violation of 46 U.S.C. § 41104(a)(2) (“Conduct Not in Accordance with Service Contracts”)

Section 41104(a)(2) provides that: “A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . provide service in the liner trade that is . . . (A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title, unless excepted or exempted under section 40103 or 40501(a)(2) of this title; or (B) under a tariff or service

contract that has been suspended or prohibited by the Federal Maritime Commission under chapter 407 or 423 of this title”. (C649 (quoting 46 U.S.C. § 41104(a)(2)).) A common carrier “[disregarding] service contracts in favor [of] higher-priced freight and attempting to coerce extra-contractual surcharges from [a service contract counterparty]” violates Section 41104(a)(2). (C650 (citing *MCS Indus. Inc.*, 2022 WL 458569, at *7.))

IV. Count IV: Violation of 46 U.S.C. § 41104(a)(3) (Now Codified at 46 U.S.C. § 41102(d)) (“Retaliation”)

The version of 46 U.S.C. Section 41104(a)(3) in effect during the time period relevant to this action, now codified at 46 U.S.C. Section 41102(d), provides that: “A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” (C651 (quoting the former 46 U.S.C. § 41104(a)(3), now codified at 46 U.S.C. § 41102(d)).) To establish a violation of the former Section 41104(a)(3), the BBY must prove that “(a) each Respondent is a common carrier, (b) Respondents engaged in prohibited conduct by refusing, or threatening to refuse, cargo space accommodations when available, or resorting to other unfair or unjustly discriminatory methods, (c) Complainant is a shipper, and (d) Complainant engaged in protected activity by patronizing another carrier, or filing a complaint, or for any other reason.” (C652 (quoting *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG & Hamburg Sud North America, Inc.*, FMC Docket No. 21-11, 6 F.M.C.2d 165, 2023 WL 3969857, at *33 (ALJ June 7, 2023)).)

In determining the scope of the “any other reason” clause of the former 46 U.S.C. Section 41104(a)(3), the Commission has held that it “will interpret . . . the anti-retaliation provision . . .

broadly to effectuate Congress’s intent that shippers feel free to air their grievances to the Commission, and to address new shipping practices and new forms of retaliation.” (C653 (*OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG & Hamburg Sud North America, Inc.*, FMC Docket No. 21-11, 2024 WL 4034610, at *17 (FMC Aug. 27, 2024) (emphasis added)). Accordingly, Commission precedent has not attempted to “address every possible scenario” in which an activity by a shipper may constitute a “protected activity” under the former 46 U.S.C. Section 41104(a)(3), but will apply the statute to each case in a manner based on the logical and practical requirements of the statute’s intent to protect shippers. (C654 (*OJ Commerce, LLC*, 2024 WL 4034610, at *17 (emphasis added)). For example, in *OJ Commerce*, where a shipper had stated that it might file a claim with the Commission against the respondent ocean carrier but had not yet filed a complaint when the retaliation occurred, “if a shipper is protected in filing a complaint with the Commission — one of only two situations that Congress deemed important enough to explicitly describe — it is reasonable to protect a shipper for stating that it intends to file such a complaint, a more limited but closely related action that would serve the same goals.” *Id.* (emphasis added).

V. Count V: Violation of 46 U.S.C. § 41104(a)(10) (“Unreasonable Refusals to Deal or Negotiate”)

“A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier”. (C655 (quoting 46 U.S.C. § 41104(a)(10)).) “To establish a violation of section 41104(a)(10), the complainant must establish that (a) Respondents are common carriers, (b) Respondents refused to deal or negotiate, and (c) such refusal was unreasonable.” (C769 (quoting *OJ Commerce, LLC*, 2023 WL 3969857, at *22.)) Here again, though adopted after the conduct at issue in this action, 46 C.F.R. Section 542.1

provides useful examples of conduct that would be unreasonable when linked to a refusal to deal or negotiate: “(1) Quoting rates that are so far above current market rates they cannot be considered a good faith offer or an attempt at engaging in good faith negotiations; or (2) The de facto, absolute, or systematic exclusion of exports in providing vessel space accommodations.” (C656 (quoting 46 C.F.R. § 542.1.) Evidence demonstrating a respondent knew it was failing to meet contractual commitments to a customer and in that context “refus[ed] to renew or expand” the respondent’s relationship with the customer supports a finding of unreasonableness under 46 U.S.C. Section 41104(a)(10). (C657 (quoting *OJ Commerce, LLC*, 2024 WL 4034610, at *12)

“The Commission has found that a common carrier should ‘refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.’ *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, Docket No. 00-11, 29 S.R.R. 1066, 1070, 2002 WL 33836158 (FMC June 28, 2002), *aff’d sub nom. New Orleans Stevedoring Co. v. FMC*, 80 Fed. Appx. 681 (D.C. Cir. 2003).” (C658 (quoting *OJ Commerce, LLC*, 2023 WL 3969857, at *22)

JURISDICTION

The FMC has subject matter jurisdiction over each of BBY’s claims in this action pursuant to the Shipping Act and, in particular, 46 U.S.C. Sections 41301 through 41309. (C660, 662.)² The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” (C661 (quoting 46 U.S.C. § 41301(a)).) Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. (C661 (citing *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15

² Each of the claims in this action sounds in the Shipping Act and are not breach of contract claims. (C660.)

(FMC Oct. 31, 2000)).) The Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations. (C662 (citing *id.*)).)

The Commission’s obligation to hear Shipping Act claims extends even to cases where the relevant facts may give rise to other claims between the parties, and even where the parties have already obtained relief for those claims in another forum. (C663 (citing *MCS Indus., Inc. v. MSC Mediterranean Shipping Co. S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006)).) Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier’s broader practices beyond those directly affecting the complainant. (C664 (citing *MCS Indus.*, 2024 WL 95383, at *7).) This means that even if certain of BBY’s claims could *also* form the basis for a claim for breach of contract in another forum, the Commission nonetheless has jurisdiction over the claim because it asserts violations of the Shipping Act. (C665 (Order at 5-8, FMC 23-02, Dkt. No. 29 (Sept. 28, 2023) (the “Partial Decision Order”) (the FMC has jurisdiction over claims brought under the Shipping Act that relate to service contracts “[involve] elements particular to the Shipping Act”) (discussing cases)); [*BBY*] *v. Evergreen Line Joint Service Agreement*, Docket No. 24-12, 2024 WL 3317830, at *7-10 (ALJ June 26, 2024) (Order Denying Motion for Partial Dismissal of the Complaint) (analyzing substantially similar claims under Section 41104(a)(2); discussing *MCS Industries* and finding that claims relating to service contract violations were well-pled Shipping Act claims and “the Commission in fact has an obligation to hear well-pleaded Shipping Act claims, over which it has exclusive jurisdiction”)).)

The FMC has personal jurisdiction over Respondents as “ocean common carriers”, as that term is defined by 46 U.S.C. Section 40102(18), that have entered into a “service contract”, as that term is defined by 46 U.S.C. Section 40102(21), with BBY. (C666.)

ARGUMENT

I. Count I (“Unjust and Unreasonable Failure to Meet Service Commitments under the Service Contracts”): OOCL’s Failure to Meet its Service Commitments to BBY under the Service Contracts Regarding MQC Commitments Was Unreasonable and Constitutes a Violation of 46 U.S.C. § 41102(c).

A. Count I, Element 1: OOCL is an ocean common carrier.

This element has not been disputed. (C11.) (*Supra* Intro.I.B.)

B. Count I, Element 2: OOCL’s acts or omissions occurred on a normal, customary, and continuous basis.

Instead of meeting its service commitments, OOCL employed an unreasonable scheme that occurred in a “normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which [OOCL] was conducting business.” (C676 (quoting Final Rule, Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (FMC Dec. 17, 2018)(the “Final Rule”)).) OOCL’s pattern of conduct resulted in mounting shortages for BBY as well as other shippers. (C94.)

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

The shortfall mounted as spot prices rose during the term of the 2020 Service Contract. For example, in an email dated October 30, 2020, OOCL employee Pete Nash released OOCL’s allocation to BBY for the months of November and December 2020, in which OOCL was only willing to cover approximately two-thirds of BBY’s projection request for that period. (C97.) By January 2021,

there were significant backlogs on BBY's orders due to "space constraints from the carriers", including OOCL, (C98), with the result that by the end of January 2021, OOCL was on track to fulfill only approximately 60 percent of its service commitment in the 2020 Service Contract. (C99.)

Ultimately, despite committing to provide 2,100 FEUs of space to BBY during the 2020 Service Contract year, OOCL provided only approximately 1,475.85 FEUs of space, or 70.3% of its service commitment. (C101.) Because of this 624.15-FEU shortfall by OOCL, BBY had to seek carriage from other sources at higher rates, or else forgo shipments entirely. (C102.) Appendices A-1 through A-4 of the Report of BBY's expert John McCown (Ex. 387, "McCown Report"), summarize actual shipments undertaken by BBY during the term of the 2020 Service Contract on lanes expressly covered by the 2020 Service Contract, using NVOs or freight forwarders, to remedy OOCL's failure to honor its service commitments. (C103.)

Despite its abysmal performance under the 2020 Service Contract, OOCL again made service commitments to provide fixed-price cargo under the 2021 Service Contract. But instead of honoring its new commitment—which was made after the pandemic-era market effects were well known—OOCL's performance actually *worsened* under the 2021 Service Contract. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] OOCL's poor performance continued. In the months of October 2021 through March 2022, OOCL provided just 52.9 percent of contracted space to BBY, if

allocated monthly. (C106.) [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] BBBY's February 2022 Letter to OOCL

again challenged OOCL's conduct:

[REDACTED]

Ultimately, despite committing to provide 3,796 FEUs of space to BBBY during the 2021 Service Contract year, OOCL provided only approximately 2,432.74 FEUs of space, or 64.1% of its service commitment. (C109.) During the time period of this 1,363.26-FEU shortfall by OOCL, BBBY had to seek carriage from other sources at higher rates, or else forgo shipments entirely. (C104.) Appendices B-1 through B-4 of the McCown Report reflect actual shipments undertaken by BBBY during the term of the 2021 Service Contract on lanes that were expressly covered by the 2021 Service Contract, using NVOs or freight forwarders, as OOCL was failing to meet its service commitments under the 2021 Service Contract. (C110.) Like the shipper in *OJ Commerce*, which experienced a 15-FEU shortfall under its service contract due to the carrier's failure to provide sufficient cargo space, *see OJ Commerce, LLC*, 2024 WL 4034610, at *4, 10, BBBY

experienced (much larger) shortfalls due to OOCL’s practice of failing to honor its service commitments.

OOCL’s failure to meet its service commitments under fixed-price BCO service contracts was not limited to BBY, but extended to other OOCL customers, as well. (C111.) Indeed, during this time, OOCL experienced many disputes with its customers as to fulfillment of MQC service commitments, (C112), and customer complaints that they were not receiving enough space to meet their MQC under service contracts. (C112.1.)

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

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[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] These failures occurred while OOCL clearly

had the capacity to meet its service commitments: as described in the McCown Report, OOCL’s overall annual volume grew from 6,954k TEU in 2019 to 7,462k TEU and 7,587k TEU in 2020 and 2021 respectively. (C119.)³

As demonstrated by the above, OOCL’s systematic failure to meet its service contracts commitments to BBY and other customers occurred on a normal, customary, and continuous basis. (C675.)

C. Count I, Element 3: OOCL’s practices and regulations relate to or are connected with receiving, handling, storing, or delivering property.

OOCL’s failure to honor its service commitments, diversion of contracted space to other shippers, and failure to accept bookings “relate[] to or [are] connected with receiving, handling, storing, or delivering property.” (C678 (quoting Partial Decision Order at 14 (“the Commission has authority to regulate the reasonableness of cargo space accommodations in service contracts,

³ This increase in OOCL’s overall annual volume was contemporaneous with OOCL’s policy of diverting cargo space to higher paying freight. (C160.)

or any refusal thereof, for the time period covered by the complaint.”)); C679 (“In reviewing the pre-2022 OSRA section 41104 applicable here, it is clear that both service contracts and cargo space accommodations are regulated, as they are explicitly mentioned. . . . If Congress wanted to prohibit sections 41102(c), 41104(a)(2), or 41104(a)(10) from applying to service contracts or to cargo space accommodations, it could have done so.” Partial Decision Order at 14 (quoting statutes)). “[S]hipping rates may be considered part of receiving, handling, storing, or delivering property”. (C680[(quoting Partial Decision Order at 10-12 (discussing *Nat’l Customs Brokers & Forwarders Ass’n of Am., Inc. v. United States*, 883 F.2d 93, 98-99 (D.C. Cir. 1989) (Ruth B. Ginsburg, J.)).)

D. Count I, Element 4: OOCL’s practices and regulations are unjust and unreasonable.

OOCL’s policies of (1) failing to meet its service commitments as to allocating cargo space under the Service Contracts with BBY, (2) preferring higher-priced freight over meeting its service commitments under the Service Contracts with BBY, and (3) negotiating the Service Contracts without intending to comply with them were unjust and unreasonable. (C123.) These policies were inconsistent with historical industry practice and unwarranted by any constraints outside of OOCL’s control. (C124, 125, 76.) Accordingly, OOCL’s actions violated Section 41102(c)’s prohibition on unjust and unreasonable practices. (C681.)

The requirement that carrier practices be reasonable is a longstanding one. Section 41102(c) was derived from section 17 of the 1916 Shipping Act, and carried through in Section 10(d)(1) of the Shipping Act of 1984. “Reasonable” may mean or imply “just, proper,” “ordinary or usual,” “not immoderate or excessive,” “equitable,” or “fit and appropriate to the end in view.” *Reasonable*, *Black’s Law Dictionary* (4th ed. 1951). “*In order to pass muster under section 10(d)(1), a regulation or practice must be tailored to meet its intended purpose. A regulation or practice*

may have a valid purpose and yet be unreasonable because it goes beyond what is necessary to achieve that purpose. As we stated in *San Diego*, *it must be ‘fit and appropriate to the end in view’.*” *Distrib. Servs., Ltd. v. Trans-Pac. Freight Conf. of Japan & Its Member Lines*, 24 S.R.R. 714, 1988 WL 340659, at *7 (FMC Jan 6, 1988) (emphasis added). “The proper inquiry under [section] 17 is, in a word, whether the charge levied is reasonably related to the service rendered.” *Volkswagenwerk Aktiengesellschaft v. Fed. Mar. Comm’n*, 390 U.S. 261, 282 (1968). (C682.3.) For decades, the Commission has recognized that a practice of demanding higher rates than those set forth in a governing service contract is unlawful and unreasonable. *See* (C683.2 (citing Fact Finding Investigation No. 23 – Ocean Common Carrier Practices in the Transpacific Trades, Order Discontinuing Proceeding, 1999 WL 1294886, at *3 (FMC Dec. 29, 1999) (“Fact Finding Investigation No. 23”)) (“The Commission’s Bureau of Enforcement (“BOE”) “will continue to pursue the possibility of enforcement action against certain ocean common carriers which have been identified by their own documents, as well as by a limited number of shippers, as refusing space or service or demanding rates higher than those set forth in existing service contracts.”))

Recent Commission precedent has reaffirmed that a carrier’s failure to meet MQC commitments, or demand higher prices than the rates set forth in service contract, is unreasonable:

As to the next element [of Section 41102(c)], whether the acts are unjust or unreasonable, the complaint alleges that Respondents systematically failed to make cargo space available under their service contracts with Complainants, in favor of carrying higher-priced freight, although they were fully able to meet their commitments under the service contracts. The aim of this practice was to force shippers who had agreed-to space onto the spot market, and to pay higher prices. Or to extract concessions from shippers in the form of extracontractual ‘Peak Season Surcharges’ (which Respondents sought to disguise) in order to carry Complainant’s cargo, at which point the situation devolved into outright auctioning of contracted space. . . . On its face, this is sufficient to state a claim for unreasonable conduct.

(C683.1 (quoting [*BBBY*] v. *Evergreen*, 2024 WL 3317830, at *5 & citing *MCS Indus., Inc.*, 2022 WL 458569, at *4 (complaint alleging failure to maintain or provide booking reports, preferring

higher-priced cargo over performing on its service contracts, and coercing peak season surcharges as a precondition to carry contracted cargo was sufficient to allege Shipping Act claim distinct from any breach of contract claim))).)

1. OOCL’s practice of violating its service commitments in favor of systematically favoring higher-priced freight was unreasonable.

i. BBY’s reliance on OOCL’s service commitments was reasonable and consistent with prior practice.

BBY reasonably relied on OOCL to fulfill OOCL’s service commitments under the Service Contracts. (C128.) BBY sought to enter into service contracts covering 100% of its anticipated needs for the year and no more, (C128.2), a strategy that OOCL’s own proffered expert in this action, Boris Steffen, agreed makes good business sense, (C128.2, 76), in part because it was preferable for BBY to seek to ship cargo under its fixed-rate Service Contracts with OOCL rather than through spot market purchases. (C128.3.) OOCL’s other expert Jensen agreed with that in a prescient October 2021 article, in which Jensen opined that having fixed price contracts *could be the difference in whether certain shippers were forced into bankruptcy* as a result of market price dislocations during the pandemic. (C128.4.) BBY, now bankrupt, experienced firsthand the devastating effects of OOCL’s decision to breach its service commitments.

BBY complied with its own obligations under the Service Contracts, (C129), including by diligently seeking to ensure that its forecasts to OOCL of BBY’s needs for each Shipping Year would be accurate, (C129.1); regularly providing OOCL and other ocean carriers updated container forecasts, (C129.2); and regularly reviewing container space provided by OOCL. (C129.3.) BBY even generally attempted to ship products with OOCL 60 days earlier than BBY’s regular practice in order to help ease shipping issues, like bottlenecks. (C130.2.) BBY also employed an experienced and capable third-party booking agent, Yusen Logistics (Americas) Inc. (“Yusen”), which diligently performed its duties in attempting to make bookings with OOCL

on BBY's behalf. (C26.4.) OOCL executive Marvic Chen admitted that OOCL was fully aware that BBY intended to use the full amount of MQC provided under the Service Contracts. (C130.) Nevertheless, during the 2020 and 2021 Shipping Years, OOCL never came close to satisfying its service commitments under its Service Contracts with BBY, (C137.10), even after BBY made repeated requests to OOCL for the space to which it was entitled. (C130.1.)

BBY's reliance on OOCL to fulfill its commitments is consistent with longstanding industry practices and expectations. OOCL's own expert Jensen, in an analysis published on October 19, 2021, emphasized that having fixed freight contracts was a huge benefit to shippers over use of the spot market due to high freight costs at the time. (C135.) Jensen explicitly identified *bankruptcy* as a likely consequence of the increase in market rates for shippers who could not rely on fixed prices in service contracts. (C136.)

The Commission's recent decision in *OJ Commerce* is instructive. In *OJ Commerce*, the Commission awarded reparations to a shipper that—like BBY here—had repeatedly asked the carrier for more space throughout the term of its service contract. *See OJ Commerce*, 2024 WL 4034610, at *2. Just like that shipper, BBY and its booking agent made repeated requests for the space to which BBY was entitled under the Service Contracts. (C130.1.) But as in *OJ Commerce*, OOCL unjustly and unreasonably failed to meet its service commitments to BBY. (C687.)

ii. OOCL's policies failed to make reasonable accommodations to provide space to BBY under the Service Contracts.

a. Description of OOCL's allocation scheme.

In the course of its relationship with BBY, OOCL unilaterally imposed an allocation scheme of its own devising. In determining how much space to allocate to its BCO customers, at the outset of each year (with minor quarterly adjustments), OOCL's Hong Kong-based "Space Traffic Control Center" team ("STCC" or "TCC") began by assessing total shipping capacity over

the coming year according to service loops, the specific vessels assigned to each loop, and the capacity of those vessels, (C149), in effect designing a “model ship” (*i.e.*, OOCL’s own ideal model for how shipping space would be allocated across its customers assuming perfect conditions). (C152.1.) This Model Ship was an idealized space allocation for a region for the given contract year, (C152), and represented, in the words of OOCL employee Glenn Metzger, “Trade’s perfect-day scenario” for affording space to the region. (C152.1.) The STCC team’s assessments were intended to be shared with OOCL’s sales teams in the relevant regions in order to guide negotiation and implementation of OOCL’s service contracts with its customers. (C149.)

For example, based on the overall allocation provided by the STCC team to OOCL’s North America regions, those regions would determine how to allocate space across their assigned customers based on the ratio of each customer’s MQC against the overall allocation. (C151.) OOCL’s North America sales teams would then send their customer-specific proposals back to Hong Kong for approval and execution. (C154.) Finally, OOCL’s STCC compiled the regional proposals; broke them down by traffic origin and customer name; and sent them to the booking origin offices/traffic control regions. (C155.)

This allocation scheme was paired with OOCL’s policy of dedicating its entire usable capacity to service contracts, (C156.3), and of participating in the spot market primarily through shorter-term service contracts with NVOCCs. (C157, 157.1, 157.2.) As BBY’s expert McCown has observed, OOCL’s policy was unreasonably risky, as it created an environment in which unanticipated issues, such as dislocations from the COVID-19 pandemic, could cause its capacity to fall below the 100% of space OOCL had contracted to provide. (C158.) Mr. McCown observes that a reasonable practice would have reserved some portion of OOCL’s total capacity outside of

service contract commitments in order to provide flexibility to deal with fluctuations and disruptions while continuing to fulfill OOCL’s service commitments. (C159.)

Despite recklessly allocating 100% of its space to fixed and floating-rate service contracts, OOCL did not, in fact, experience any significant extrinsic reduction in overall capacity that required OOCL to short-change BBY on its service commitments. (C164.) During the pandemic, OOCL did not encounter a significant reduction in total lift capacity or conduct light sailings, (C161), and its ships ran at essentially full capacity. (C362.) Nonetheless, OOCL’s own expert, Steffen, has conceded that *even if* OOCL had experienced a reduction in capacity, OOCL would still have been obligated to procure additional space in order to fulfill OOCL’s service commitments. (C588.)

b. OOCL’s allocation scheme is flawed.

OOCL’s allocation scheme is deeply flawed, as demonstrated by the poor outcomes it yielded in service commitment fulfillment. (C169, 163.) OOCL knew, or should have known, that its allocation policies, which as described below were inflexible and failed to account for the fluctuating needs of its customers, were an unreasonable and ineffective tool to meet OOCL’s service commitments to BBY and its other customers. (C170.) Indeed, OOCL *did* know this; as discussed below, OOCL’s allocation policies were part of a deliberate effort to constrain the space available to OOCL’s customers under and free up space for higher-priced cargo. (C168.)

(1) OOCL allocated space to customers based on a “black box” allocation scheme.

It bears emphasis that OOCL’s allocation scheme was not based in any provision of the Service Contracts but was rather a scheme created unilaterally by OOCL. OOCL’s Service Contracts with BBY did not contain MQC allocations on anything other than an annual basis, and the MQC applied to all contracted lanes (*i.e.*, port-to-port pairs) identified in the contracts.

OOCL's scheme, on the other hand, required its customers to book space according to OOCL's self-determined weekly allocations, tied to OOCL-imposed limitations on space and on specific lanes. (C172.) OOCL's customers accordingly did not have the power to determine how much space would be allocated to them at a particular time; such decisions were made by OOCL with or without customer input. (C.) OOCL's Hong Kong Trade team also unilaterally determined how to allocate space within a particular region between BCO and NVO customers. (C173.) Accordingly, although BBY's Service Contracts with OOCL did not permit OOCL to unilaterally determine how BBY's MQC would be delivered, OOCL has admitted that is, in fact, how its allocation policies functioned. (C175.) Ultimately, regardless of what BBY asked for, OOCL's self-determined allocations were all that OOCL would commit to ship. (C178.)

(2) OOCL's allocation scheme is inflexible ("Use it or lose it").

The flaws in OOCL's allocation scheme contributed to OOCL's failure to meet its service commitments to BBY and other customers. Once OOCL issued its allocations to its customers, there was effectively no room for flexibility. (C180.) Although such allocations were created in OOCL's "black box", if the customer did not need or could not use the space that OOCL unilaterally chose to allocate at a given port in a given week, the allocation will be lost and, importantly, OOCL would not seek to make it up, (C180), thus forcing the customer to accept allocations on, as OOCL employee Jim Mitchell admitted, a "*use it or lose it*" basis. (C182.)

This inflexibility created a cascade effect, where OOCL's allocations did not align with its customers' needs. Again and again, OOCL's allocations to BBY throughout the relevant period failed to align with BBY's actual needs, but OOCL would not adjust its allocations to meet those needs. (C183.) If BBY could not use a particular allocation, for whatever reason, OOCL would re-allocate that space to another customer, compounding BBY's MQC shortfalls. (C184.)

At times, OOCL's allocations were deliberately designed to hinder BBY's ability to fulfill the MQC. OOCL sometimes provided allocations in huge amounts within the span of a week or two, at times when OOCL internally acknowledged that it knew BBY would not be able to use the entire allocation. (C185.) At other times, OOCL would offer to provide space on a specific shipping lane, but the allocation did not align with BBY's actual shipping needs on that lane. (C187.) Accordingly, OOCL's allocations systematically failed to take into account BBY's actual projections, did not align with BBY's anticipated or actual needs, and rendered compliance impossible. (C183.)

Nor would OOCL make up allocations even if issues arose purely on OOCL's end, such as through "blank sailings", or sailings in which no vessel was available in a given week. (C188.1.) A blank sailing often takes an entire loop out of service for a given period. (C188.) OOCL also implemented port omissions, where a vessel bypassed a specific port, typically in order to make up time when behind schedule. (C188.) Decisions concerning blank sailings and port omissions were made by OOCL's Hong Kong Trade team. (C188.2.) Blank sailings are sometimes planned, (C188.3), but can also arise unexpectedly, such as through mechanical issues on a ship (e.g., engine requiring maintenance), port closures, or delays due to port congestion. (C188.4.) This issue is significant because, during the pandemic, issues such as port congestion became severe, (C430), and the number of blank sailings increased significantly in 2020, with low schedule reliability persisting through 2021. (C188.5.) OOCL also might order a blank sailing simply to operate more profitably—for instance, when OOCL could not secure an amount of cargo on a particular vessel that would, in OOCL's eyes, justify the cost of the voyage. (C188.7.) OOCL's expert Jensen observed that coordinated blank sailings to prop up freight rates were common in the early months

of the pandemic, and represented the actions of a “de facto oligopoly” of ocean carriers to avoid price competition. (C32.)

OOCL’s Assistant General Manager of Transpacific Trade (Eastbound) Wong admitted that OOCL’s space allocations did not account for blank sailing factors, (C188.8). Accordingly, OOCL’s allocation policies failed to accommodate OOCL’s customers’ attempts to book space during the pandemic.

OJ Commerce is again instructive. In *OJ Commerce*, as here, the ocean carrier internally set weekly allocations for the shipper, which provided insufficient space to meet the MQC under the shipper’s service contract. *See OJ Commerce, LLC*, 2024 WL 4034610, at *2. OOCL’s allocations, like the allocations in *OJ Commerce*, were internal allocations that had no basis in BBY’s Service Contract. Just like the shipper in *OJ Commerce*, BBY received insufficient space from these internal allocations. And even if these allocations had perfectly aligned with BBY’s needs, due to the impact of blank sailings and other factors, the allocations still would have been insufficient to fulfill OOCL’s service commitments to BBY.

(3) OOCL’s requirements for complying with its space allocations were onerous and confusing.

OOCL’s allocation scheme rendered fulfillment of the contract MQC impossible in part because OOCL imposed a policy of rejecting bookings that did not comply with its own internally generated weekly allocations. (C190.) OOCL’s regulatory compliance executive Young admitted at his deposition that, if a customer attempted to book space that exceeded the amount allocated by OOCL, OOCL would reject that booking *entirely*. (C191.1.)

OOCL did at times allow modification of its allocations through a process of “swapping”. However, OOCL only allowed swaps two weeks in advance of a sailing, (C192), which often led to dislocations in customer shipments. Moreover, the swapping process was derided by OOCL’s

own employees as a “tedious”, “labor-intensive” and “time-consuming” one that involved manually adjusting space allocations for customers on a large spreadsheet. (C192.2.) [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

**(4) OOCL employees acknowledged deficiencies in
OOCL’s allocation policies.**

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] OOCL USA’s Mike Young, who drafted [REDACTED] along with OOCL employee Glenn Metzger, (C201.1), admitted that: “[*W*]e felt it was *not the right process to apply*, but there were limitations in the system.” (C201.3.1.)

[REDACTED]

[REDACTED]

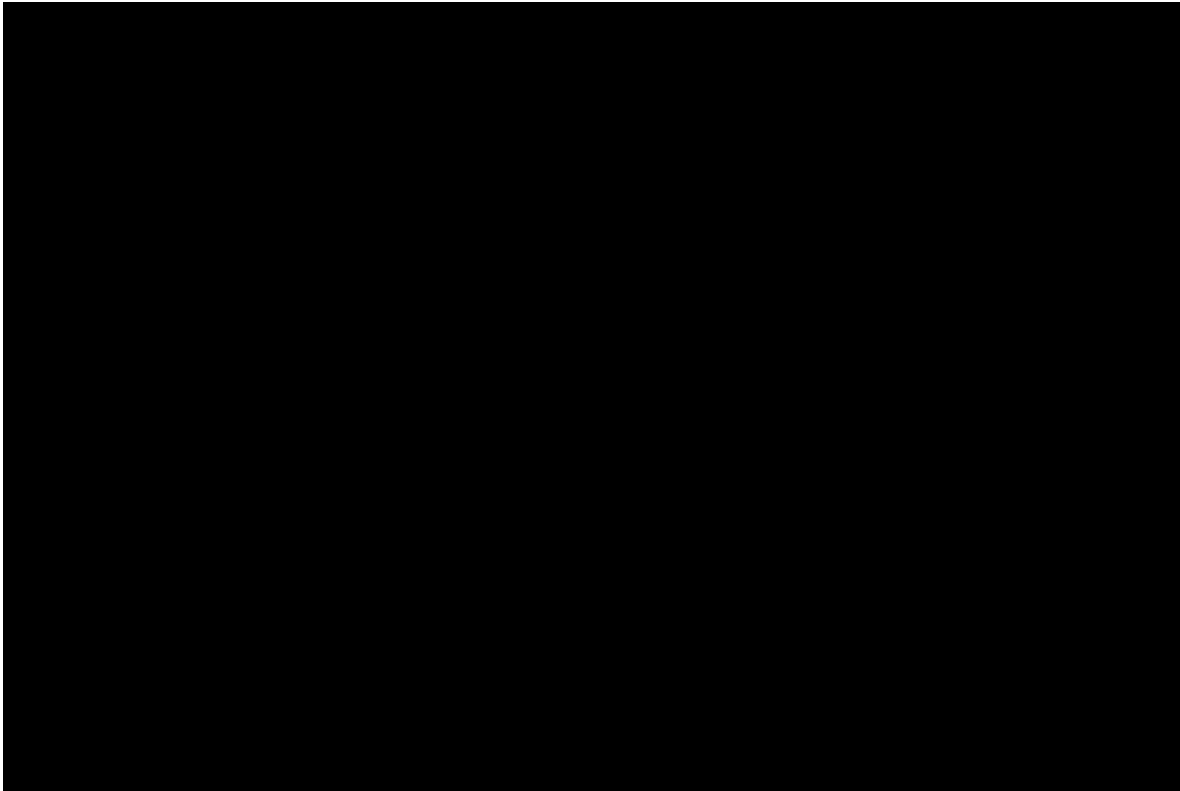
[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]



Yet again, *OJ Commerce* is on all fours. In *OJ Commerce*, the carrier's risk management employee sent two emails to senior management warning that the carrier was not meeting its service commitments and faced liability. *See OJ Commerce, LLC*, 2024 WL 4034610, at *2. The emails and formal presentation discussed above from key OOCL executives based in the U.S., like the risk management employee's multiple emails in *OJ Commerce*, raised serious compliance concerns to top OOCL management, but OOCL failed to correct the violations or assist customers in mitigating the damage done by OOCL's actions. Thus, like the internal warnings in *OJ Commerce*, these materials show that OOCL "knew and admitted they were not meeting their contractual commitments". *OJ Commerce, LLC*, 2024 WL 4034610, at *12.

The confusing and inflexible nature of OOCL's black-box allocation scheme also resulted in employee confusion and further noncompliance with booking requests. OOCL employee Glenn Metzger, who had responsibility over space allocations for OOCL's North America region,

received numerous complaints about OOCL’s poor performance, including OOCL’s Hong Kong office’s failure to release OOCL’s North American customers’ booking requests. (C198.)

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Accordingly, OOCL’s allocation policies were not reasonably designed to fulfill OOCL’s service commitments, and did not meet OOCL’s obligations to BBY under the Service Contracts in practice. (C204.)

iii. OOCL failed to accurately track booking attempts.

Partly as a result of the flaws inherent to OOCL’s allocation system, OOCL also failed to accurately track booking attempts, which contributed to OOCL’s failure to meet its service commitments to BBY and other customers. (C206.)

Importantly, OOCL’s allocations are not integrated into any automated booking acceptance process. (C207.) Accordingly, any booking attempts with OOCL that were denied by OOCL’s origin teams would not be guaranteed visibility throughout the rest of OOCL’s system. (C210.) Under OOCL’s “use it or lose it” approach, any declined bookings could go to another of OOCL’s

customers rather than OOCL attempting to correct any issue with the booking and ensuring the customer received their allocated space. (C211.) This unreasonable approach, which had the effecting of throwing contracted space open to the highest bidder, was obviously lucrative for OOCL, but was nonetheless unfair and unreasonable to OOCL's contract customers.

a. OOCL's booking statistics demonstrate OOCL failed to reasonably manage its customers' bookings.

Under OOCL's allocation scheme, booking rejections were common, with reasons ranging from incorrect contract information to human error. (C212.) As OOCL sales employee Donna Forminio testified, the number of rejected bookings likely increased during the 2020 and 2021 Shipping Years due to the disruptions caused by the pandemic. (C212.1.)

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

BBBY was similarly seeing alarming rates of declined bookings during the relevant time period. A spreadsheet prepared by BBBY's employees with the assistance of BBBY's booking agent provided an average for all BBBY's percentage of accepted bookings with OOCL, which was a mere 69.5% over May 2021 through December 2021. (C215.)

b. OOCL's failure to reasonably manage its customers' bookings resulted from OOCL's inadequate policies and management.

OOCL declined bookings for many reasons, including because they were not in OOCL's allocation system or the volumes recorded in the system were incorrect. (C216.) The rate of declined bookings alarmed OOCL's salespeople. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] There were periods when the number of declined bookings actually exceeded the number of accepted bookings. (C218.)

These declined bookings were a result of OOCL’s own policies. For example, OOCL executive Wong admitted that OOCL deliberately overbooked ships in order to ensure those ships sailed full. (C219.) OOCL overbooked with the full knowledge that some customers would not be able to ship their entire booked volume. (C219.1.) OOCL also had a policy of selling “priority account” status to its customers, which allowed such customers access to higher “overbooked ratios” (“OBR”) or priority access to shipping space based on the customer’s forecast. (C220.1, 220, 220.1, 221.)

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] OOCL failed to correct the issue, and declined bookings remained a persistent issue throughout both Service Contracts.

c. OOCL declined its customers’ bookings when customers tried to book in excess of OOCL’s restrictive internal allocations.

A major contributor to booking rejections was the fact that OOCL would reject entire bookings if a booking was for more space than what OOCL had internally allocated the customer on that particular week/sailing, even if the allocation itself was short of MQC/52. (C223.) This rule was intentionally built into OOCL’s enterprise software, purportedly out of a concern that OOCL would not be able to know what containers a customer wanted to prioritize if it placed a booking for more than the allocation. (C224.)

Notably, however, OOCL’s internal CSAL allocations were not built into OOCL’s outward-facing software that customers actually used to input their booking requests (“My OOCL Center”). (C225.) Instead, customers “could put anything they want in their booking request”—OOCL’s software did not prevent customers from submitting booking requests that exceeded OOCL’s internal CSAL allocation to that customer or notify customers if they exceeded the internal allocation. (C225.2.) The customer’s electronic booking request would merely “create[] a dashboard task for a[n OOCL] Customer Service rep to put the actual booking into . . . [OOCL’s internal] enterprise system”, which was known as IRIS-4, on a manual basis, and only then, after the OOCL employee had manually entered a booking into OOCL’s internal IRIS-4 system, would a customer receive a booking acknowledgment generated by OOCLs internal IRIS-4 system. (C141.2.) If a customer’s booking request exceeded OOCL’s internal allocation to that customer, in most cases the booking request simply “would never get input into [OOCL’s actual internal booking system,] IRIS-4” (C225.3.)

d. OOCL declined bookings even when customers tried to book within OOCL’s restrictive internal allocations.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

e. OOCL declined its customers’ bookings when customers tried to book outside of OOCL’s restrictive booking windows.

OOCL would also reject booking requests if they were made after the booking cutoff. (C229.1.) OOCL often changed booking windows, causing them to be different from what OOCL had told customers. (C229.2.) Moreover, even when OOCL’s sales team told customers that they could get space on a sailing, OOCL’s inability to coordinate internally on bookings and internal communication breakdowns led to bookings that were unable to be confirmed until after OOCL’s own internal cutoff had passed. (C229.6.) At that point, it was too late for the customer. Issues with OOCL’s internal allocation system could also result in the reduction of a booking window, through no fault of the customer. (C229.4.)

Furthermore, OOCL sometimes “pended” bookings and then failed to act upon them. “Pending” status might mean that a booking was with customer service due to a concern about equipment or space. (C231.) In other cases, bookings would be pended because of OOCL’s delay in updating its internal allocation file. (C229.3.) The net result was that, despite assigned allocations, large North American BCO customers often had bookings that remained “pended” in the system. (C229.5.) [REDACTED]

f. OOCL’s unreasonable booking declinations contributed to OOCL’s failure to meet its service commitments to its customers.

OOCL was aware that its North American BCO customers, including BBY, were not “getting sufficient allocation to allow [those customers], based on a prorated basis to meet their MQC at the end of the contract period” and that many of those customers were going to fall short of their MQC due to OOCL’s practice of declining bookings made in excess of its own internal allocations. (C232.) Making matters even worse, OOCL did not consistently provide BBY or its other customers with explanations when bookings were declined or cancelled. (C233.)

2. OOCL employed an unreasonable policy of preferring higher-priced freight at the expense of its service commitments.

Throughout the 2020 and 2021 Shipping Years, OOCL maintained a policy of preferring higher-priced freight at the expense of its fixed-price service commitments to BBY and other shippers. (C240.) OOCL used several methods to implement its policy to discriminate against its fixed-price BCO customers in favor of higher-priced freight. *First*, OOCL auctioned off space to NVOs at premium rates despite falling well behind in MQC fulfillment with its BCO service contract customers. *Second*, OOCL demanded enormous and unprecedented PSS surcharges from its BCO customers on top of their existing service contract rates. *Third*, by failing to meet its service commitments, OOCL freed up space to sell to the highest bidder through premium contracts. *Fourth*, OOCL discriminated against its North American BCO customers in the transpacific trade in favor of Asia Pacific customers. (C241.)

As discussed by BBY's expert, John McCown, the impacts of OOCL's allocation scheme were pernicious and manifold: contrary to longstanding industry practices (and FMC requirements) to honor service commitments. (C242); OOCL's scheme forced myriad contract customers experiencing shortfalls to compete against each other, as well as NVOs, premium customers and spot market buyers, for increasingly scarce and expensive space. This created a vicious cycle where BCOs, despite having relied on carrier commitments in fixed-price service contracts, had no option but to replace the missing volume at market prices, (C243; 244.) and the additional demand from customers who *should* have been able to rely on receiving their MQCs at contracted rates had the effect of *further* increasing demand and competition for available space, pushing prices even higher and allowing OOCL to profit greatly from its scheme. (C245; 244.) As the Commission recently affirmed, "offering higher spot market rates does not ameliorate the problems caused by not having a predictable, year-long service contract", (C72 (quoting *OJ Commerce, LLC*, 2024 WL 4034610, at *11), in part because spot market rates do not allow shippers the long-term planning, "as prices may fluctuate to an extent that products are not profitable to ship, and space may simply not be available." (C72 (quoting *OJ Commerce, LLC*, 2024 WL 4034610, at *11; *see also id.* at *14 ("spot market rates can . . . fluctuate wildly over a one-year period. . . . A carrier has no obligation to accept cargo pursuant to the spot market. And when a shipper may need guaranteed space the most, for instance during periods of peak demand or supply chain congestion, the spot market offers neither certainty the cargo will ship nor certainty the price will be palatable.")).)

- i. **OOCL unreasonably discriminated against its fixed-price service contract customers, including BBY, in favor of higher-priced freight.**

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] As one OOCL employee noted, OOCL was “selective” in determining which customers’ freight it would carry, based on the price the customer was willing to pay, which resulted in customers being forced to pay premium rates for freight, even where OOCL was trending well below MQC/52 fulfillment on its existing service contracts. (C247.) By August 2021, the effect of this discriminatory approach was evident: MQC fulfillment for OOCL’s BCO customers on standard service contracts stood at just 15%, whereas MQC fulfillment was at 118% for NVOCC customers on premium contracts and a whopping 7,598% for BCOs that had agreed to premium rates. (C248.)

OOCL sought to exploit higher rates through spot market prices and premium rate services, including floating NVO service contracts at the expense of its fixed-price contract customers, like BBBY. Fixed-rate service contracts typically involve fixed rates for the entire contract year, but contracts based on floating rates, such as OOCL’s NVO service contracts, adjusted periodically, often every two weeks, to reflect market conditions. (C249.) As discussed by BBBY’s expert John McCown, in his report, by systematically favoring floating and premium rate customers over fixed-price customers, OOCL was able to close the gap between its contract prices and the prevailing (and skyrocketing) spot market prices. (C326; C327.) OOCL employee Donna Forminio confirmed that the gap between rates charged by OOCL for fixed-rate service contracts and contracts based on the prevailing spot market rates soared dramatically due to the fact that spot market rates were generally three to four times higher than rates in BCO service contracts. (C34.) OOCL knew that the increase in spot rates was driven by supply and demand, (C252), and sought to capitalize on the lucrative rates it could charge for cargo space on its ships by shifting freight to spot-market rate buyers.

To be clear, OOCL did not necessarily care whether it shipped pursuant to fixed-rate contracts or otherwise—as long as it could access the high premiums for space on the open market, whether through premium prices, floating rates or high surcharges tacked on to a contract rate. Underscoring this policy was a set of internal written guidelines OOCL promulgated through its Trade department in Hong Kong that ranked OOCL’s customers on both letter-grade (A through F) and “VALUE” scales based on their respective “contributions”—i.e., how high their rates were as compared with OOCL’s overall fixed service contract rates and “open” (i.e., spot) rates with BCOs and NVOs. (C253) (Tab “USEC”, row 111 showing BBY’s “grade” as of February 2022 as an “F” because of BBY’s fixed-price contracts).

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

During the Service Contract years, while OOCL was falling short of its service commitments to BBY and other of OOCL’s BCO service contract customers, OOCL offered purportedly additional space through “extra loaders”. (C254.) OOCL treated “extra loader” space as a premium service, which OOCL apportioned based on who would be willing to pay the highest price. (C254.1.) Because OOCL based the prices it charged for shipping cargo on extra loaders on the prevailing spot market rate, shipments on extra loaders could be priced at rates several times higher than the rates in a customer’s standard service contract. (C256.)

OOCL employed each of these policies against BBY specifically. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

OOCL's policies were unreasonable, and OOCL knew it. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

ii. OOCL unreasonably coerced exorbitant PSS charges.

[REDACTED]

[REDACTED]

[REDACTED] In effect, despite OOCL falling behind on service commitments to BBY under the Service Contracts and other BCO customers on their respective service contracts, OOCL's policy of conditioning shipments on PSS charges allowed OOCL to bring the rates fixed under those service contracts into line with the higher spot market rates prevailing during the pandemic years. (C263-264.) This policy was clearly unreasonable. (C287.)

Prior to the pandemic, OOCL's imposition of PSS charges was in line with standard industry practice: such charges were imposed during limited periods of time, especially the summer and holiday seasons, purportedly to offset increased expenses borne by the carrier. (C265.) For example, OOCL employees testified that OOCL would ordinarily impose PSS only during peak periods of shipping volume, such as the mid-third quarter to fourth quarter of each year. (C266.)

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] Such deliberate coercion of PSS charges is nearly identical to conduct alleged in the *MCS Industries* case that the FMC determined stated a claim of unreasonable conduct. *See MCS Indus., Inc.*, 2022 WL 458569 at *4, *6. OOCL’s policy is even more unreasonable in light of the fact that both Service Contracts expressly state that PSS charges are *already included in the*

contract rates and therefore, as OOCL’s own expert Steffen conceded at his deposition, PSS should never have been an option. (C280.)

The results of OOCL’s PSS scheme are striking. The total cost differential BBY had to pay under the Service Contracts due to OOCL’s PSS pricing policies was approximately \$13.7 million. (C282.) In his report, BBY’s expert McCown analyzes a representative period to show that, in effect, OOCL’s PSS policy allowed OOCL to achieve on average 72.9% of the then-prevailing spot market price for each FEU shipped under the 2020 Service Contract. (C283.) In this way, OOCL’s PSS policies enabled OOCL to extract near-spot market rates from BBY even on the limited amount of space OOCL allocated to BBY under its Service Contracts.

Despite being immensely profitable for OOCL, this policy was unreasonable and violated the Shipping Act. (C692.) As the Commission acknowledged in *OJ Commerce*, fixed contract prices represent a guarantee of space that is most valuable *when prices are high and the shipper most needs the space*—and OOCL’s policy of refusing to carry cargo unless BBY agreed to PSS that approached spot market pricing is no substitute for the fixed-price space that OOCL committed to provide under the Service Contracts. *See OJ Commerce, LLC*, 2024 WL 4034610, at *11.

iii. OOCL unreasonably shifted space from its Service Contracts with BBY to premium contracts.

OOCL also sought to enrich itself at the expense of BBY and other of its BCO customers by employing “premium contracts”, which ran concurrently with customers’ standard service contracts and charged higher rates, ostensibly to provide OOCL’s customers with greater access to shipping space (which, of course, OOCL was already obliged to provide under its customers’ respective standard service contracts). (C288.)

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] For example, under CSAL, premium contracts generally would have higher overbooked ratios, providing customers booking shipments under premium contracts with greater access to shipping space. (C294.) In another example, OOCL treated space allocated on “extra loaders” (*Supra* Arg.I.D.2.i) as a premium service, meaning that premium contracts received preferential access to this supposedly “extra” space. (C255.) This of course was the intention, as OOCL employees admitted that OOCL generated higher revenues from extra loader space when it was designated for use under premium contracts compared to using the same space to fulfill standard service contract commitments. (C296.)

As with other of its customers, OOCL forced BBY to agree to premium contracts at spot market rates in order to get access to shipping space, (C297.), including by threatening BBY that it would be shut out from its previously contracted space if BBY failed to agree to premium contracts. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

These statistics demonstrate that OOCL's premium contract program was an unreasonable policy that OOCL employed in order to enrich itself at the expense of its fixed-price customers.

(C693.) [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

iv. OOCL unreasonably discriminated against its North American BCO customers in the transpacific trade in favor of other routes.

In addition to gouging American importers for all they were worth, OOCL compounded the pain by overtly discriminating against American importers. OOCL executives admitted that OOCL followed a policy of *shrinking the space available to OOCL’s North American BCO customers* by re-directing space from those customers to Asia-based BCOs. (C313.) [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] In this respect, OOCL’s conduct further represents a violation of 46 U.S.C. Section 41104(a)(5), which prohibits ocean carriers from *inter alia* “engag[ing] in any unfair or unjustly discriminatory practice against any commodity group or type of shipment or in the matter of rates or charges with respect to any port”. (C695.)

3. OOCL maintained an unreasonable policy of negotiating service contracts without intending to comply.

Throughout the time period covered by the 2020 Service Contract, OOCL never came close to meeting its service commitments under its Service Contracts with BBY. (*Supra* Arg.I.B.) By

2021, OOCL undeniably was well aware of market dynamics and demand in the pandemic era—and, with all of that knowledge, OOCL committed itself again, in the 2021 Service Contract. Yet, as discussed above, OOCL immediately returned to the same pattern of flouting its commitments and selling space to the highest bidder. (*Supra* Arg.I.B, I.D.1-2]; C696.) The only reasonable inference is that OOCL did not negotiate the 2021 Service Contract in good faith, but rather with the intent to defraud BBY into, once again, counting on OOCL to provide an agreed amount of fixed-price carriage that was critical to BBY's business.

4. OOCL's policies of failing to meet its service commitments to its customers, preferring higher-priced freight over meeting its service commitments, and negotiating service contracts without intending to comply were unwarranted by any constraints outside of OOCL's control.

OOCL's policies discussed above were inconsistent with historical industry practice and were not justified by any constraints outside of OOCL's control. (C124.)

As discussed in the McCown Report, OOCL's overall annual shipping volume grew in both 2020 and 2021, before subsiding modestly in 2022. (C125.2.) In fact, OOCL even chartered out several of its own vessels during this period. C324.) During this same period (2020-2022), OOCL's average revenue per TEU also increased dramatically, with year-over-year increases in 2021 and 2022 reaching 129.0% and 190.2% respectively, (C325), with the increase in the transpacific trade being even more pronounced. (C326.)

In terms of gross lift capacity, OOCL was plainly capable of meeting its service commitments to BBY. OOCL owns over 100 ships outright, can (and during the pandemic, did) charter additional vessels, and had access to additional shipping space through its membership in the OCEAN Alliance. (C329.) Strikingly, based on data assembled in the McCown Report breaking down OOCL's fleet statistics, (C330), OOCL actually *reduced* its capacity during 2020-2022 by chartering out certain of its vessels, (C331). OOCL, moreover, manipulated rates through

its internal allocations, which further artificially constrained OOCL's allocations to its customers and allowed OOCL to achieve extraordinary windfalls on the capacity freed up by its scheme. (C333.)

To the extent OOCL argues that it had to reduce BBBY's service because it was operating under space constraints, such an argument fails for the same reasons discussed by the Commission in *OJ Commerce*. In *OJ Commerce*, the carrier claimed it was unable to renew the contract because of space constraints and industry-wide equipment shortages. See *OJ Commerce, LLC*, 2024 WL 4034610, at *4. The Commission rejected that defense, finding that the record actually showed that the carrier had space it could have provided the shipper in a new contract, as evidenced by the carrier's executing service contracts with MQCs for 25,402 TEUs on one specific trade lane alone and dealing in quantities of space vastly exceeding the FEUs preliminarily designated for the new contract. *Id.* The same analysis applies here. Just like the carrier in *OJ Commerce*, OOCL plainly had enough space to meet its commitments to BBBY, as shown by OOCL's increase in total annual volume. Similar to the large-MQC deals that the carrier in *OJ Commerce* made with other customers and on other trade lanes, OOCL made large fulfillments to premium customers that far exceeded the premium contract MQCs, allocated extra space to Asia Pacific-based shippers, and even chartered out vessels. Plainly, that space could have been allocated to fulfill OOCL's service commitments to BBBY.

Such practices are inconsistent with industry practice and unreasonable, particularly in the context of OOCL's failure to honor its service commitments to its customers, including BBBY. (C334.)

5. BBY made *bona fide* and significant efforts to mitigate OOCL’s MQC shortfalls and premium/PSS Charges.

i. MQC Shortfalls

BBY acted in good faith to mitigate its damages from OOCL’s shortfalls. Before the commencement of each shipping year, BBY engaged in diligent negotiations to secure service contracts covering 100% of its anticipated needs for the year based on detailed projections. (C130.) Notwithstanding BBY’s compliance with its contractual obligations, (C129), OOCL failed to meet its service commitments, resulting in a shortfall of 624.15 FEUs in 2020 and 1,363.26 FEUs in 2021, making it necessary for BBY to use NVOs or ocean freight forwarders on lanes that were supposed to be covered by the Service Contracts. (C102.)

As OOCL’s valuation expert Steffen conceded, the inability of a retailer to have products on shelves is a death knell for the retailer’s business. BBY took extraordinary measures to reduce the damage attributable to OOCL’s actions, including paying PSS and premium charges, buying space on the open market, and even chartering vessels at rates two to three times higher than normal market rates to fill the gaps created by OOCL’s unlawful conduct. (C341.) As just one example, in August 2021, BBY chartered a vessel to transport 220 FEUs from Yantian to Los Angeles/Long Beach, incurring substantial additional costs, including \$1.5 million in upfront payments and increased inland transportation expenses to expedite cargo delivery. (C342.)

ii. Premium/PSS Charges

Further, during the relevant time period, BBY also mitigated OOCL’s shortfalls by agreeing to coercive and excessive PSS and premium rates. As detailed above, despite having service contracts, BBY was compelled to make extracontractual concessions, such as agreeing to the premium contracts and exploitative PSS pricing, simply to secure space on OOCL’s vessels and maintain its business operations. (C346.) As former BBY Director of International Supply

Chain Patrick Hackett testified, BBY had no realistic alternative but to accept these premium contracts and surcharges to ensure products reached store shelves, stating, “if you want to get any space, you’re going to need to sign these premium contracts and move these goods under these premium rates; otherwise, you’re not going to get space on the vessel.” (C346.) This sentiment was reinforced by the broader market conditions that left BBY’s hands tied, as failure to secure shipping space would have jeopardized its ability to remain operational as a retailer. (C346.)

E. Count I, Element 5: OOCL’s practices and regulations are the proximate cause of the losses claimed by BBY.

As demonstrated above, (C347), OOCL was the proximate cause of the injuries complained of by BBY. (C703 (quoting *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 2001 WL 865708 at *80 n.75, (FMC 2001)) (“[A] party must show that it is entitled to a specific reparation, i.e., that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’”) & citing *OJ Commerce, LLC*, 2024 WL 4034610, at *21-23 (approving damages calculation on basis of detailed spreadsheet submitted by the Complainant reflecting actual shipments) & *William R. Adair v. Penn-Nordic Lines, Inc.*, FMC Docket No. 1695(F), 26 S.R.R. 11, 1991 WL 383091 at *23, (ALJ Sept. 24, 1991) (“proof of injury or damages must rest on reliable evidence that shows that the violation of law was the proximate cause of the damages.”).)

II. Count II (“Unjust and unreasonable assessment of Detention and Demurrage Charges”): OOCL’s Policy of Imposing Unreasonable Detention & Demurrage Charges Constitutes A Violation of 46 U.S.C. § 41102(c) & 46 C.F.R. § 545.5.

A. Count II, Element 1: OOCL is an ocean common carrier.

This element has been established. (*Supra* Intro.I.B.)

B. Count II, Element 2: OOCL’s policies and practices of imposing unreasonable detention and demurrage charges occurred on a normal, customary, and continuous basis.

Throughout the 2020 and 2021 Shipping Years, OOCL undertook a policy and practice of overcharging OOCL detention (“Detention Charges”) and demurrage charges (“Demurrage Charges” and, together with Detention Charges, the “Detention and Demurrage Charges” or “D&D Charges”) that was “normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which [OOCL] was conducting business.” (C676 (Final Rule, 83 Fed. Reg. at 64479.)) Between 2020 and 2022, \$6,306,612.95 in detention charges were assessed for BBY shipments moving under OOCL terms, in hundreds of transactions. (C346.) Between 2020 and 2022, \$1,784,164.88 in demurrage charges were assessed for BBY shipments moving under OOCL terms. (C345.) Accordingly, this element is established. (C344.1-344.2.)

C. Count II, Element 3: OOCL’s policies and practices of assessing unreasonable detention and demurrage charges relate to and are connected with receiving, handling, storing, or delivering property.

“[S]ection 41102(c) concerns ocean carrier, marine operator, and ocean transportation intermediary practices and regulations ‘relating to or connected with receiving, handling, storing, or delivering property.’” (C711 (Interpretive Rule, 85 Fed. Reg. at 29650.)) Ocean carrier demurrage and detention practices are subject to 46 U.S.C. Section 41102(c) and Commission oversight, regardless of whether the practices relate to conduct at ports or inland, with some caveats not relevant here. (C712 (Interpretive Rule, 85 Fed. Reg. at 29650.))

The D&D Charges at issue arise directly from OOCL’s handling of BBY cargo and providing transportations services. (C713.) OOCL’s practices, policies, and procedures related to the assessment of D&D Charges against BBY are thus directly related to the movement of cargo in ocean shipping. (C713.) This element is established. (C347.1-347.2.)

D. Count II, Element 4: OOCL’s policies and practices of assessing unreasonable detention and demurrage charges against BBY are unjust or unreasonable.

During the relevant time period, OOCL assessed unreasonable and unjust D&D Charges against BBY based on arbitrary and unfair practices. Appendix C of the McCown Report reflects payments made by BBY for D&D Charges charged by OOCL for OOCL shipments. (C349.) These D&D Charges are unreasonable based on OOCL’s unreasonable practices, including (1) unreasonable rates underlying the charges, (2) unreasonable bases for the charges, and (3) disregarding BBY’s significant efforts to mitigate the charges.

As to reasonableness generally (*supra* Arg.I.D.), and as specifically applicable to OOCL’s practices regarding the D&D Charges, 46 C.F.R. Section 545.5(c)(1) states that “in assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.” (C717 (46 C.F.R. § 545.5(c)(1)).) Accordingly, the reasonableness of OOCL’s D&D Charges to BBY are analyzed in accordance with the “incentive principle”. (C324 (*Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm’n*, 106 F.4th 1113, 1115 (D.C. Cir. 2024) (the incentive principle “provides the ‘reasonableness’ of detention charges will be judged by ‘the extent to which . . . [they] are serving their intended primary purposes as financial incentives to promote freight fluidity.’ § 545.5(c)(1).”)).) The D.C. Circuit has held that there are no “bright line” rules for determining whether complained-of D&D charges are just or reasonable, and that the Commission must consider the specific facts and circumstances as a whole on a case-by-case basis. (C719 (*Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm’n*, 106 F.4th 1113, 1117-18 (D.C. Cir. 2024).)

46 C.F.R. Section 545.5(c)(2) lists particular applications of the incentive principle:

(i) Cargo availability. The Commission may consider in the reasonableness analysis the extent to which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval.

(ii) Empty container return. Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable.

(iii) Notice of cargo availability. In assessing the reasonableness of demurrage practices and regulations, the Commission may consider whether and how regulated entities provide notice to cargo interests that cargo is available for retrieval. The Commission may consider the type of notice, to whom notice is provided, the format of notice, method of distribution of notice, the timing of notice, and the effect of the notice.

(C720 (46 C.F.R. § 545.5(c)(2)(i)-(iii)).) In addition, 46 C.F.R. Section 545.5(d) states:

The Commission may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements.

(C721 (46 C.F.R. § 545.5(d)).)

1. OOCL’s unreasonable detention and demurrage rates are unjustified as a means of compensating OOCL’s direct or opportunity costs associated with container movement.

Generally, detention and demurrage charges were anomalies prior to the pandemic and were seen by carriers as a minor item rather than as a driver of revenue. (C351.) Such charges were traditionally not intended as a source of profits—to ocean carriers, port terminals, or otherwise—but as a method of incentivizing the free flow of containers (the “incentive principle”). (C718 (*Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm’n*, 106 F.4th 1113, 1115 (D.C. Cir. 2024) (the incentive principle “provides the ‘reasonableness’ of detention charges will be judged by ‘the extent to which . . . [they] are serving their intended primary purposes as financial incentives to promote freight fluidity.’ § 545.5(c)(1).”)).) OOCL, including its China-based

management team, is well aware that the incentive principle, as a means of promoting freight fluidity, acts as the FMC's primary guideline for determining when detention and demurrage charges are reasonable to assess on shipping customers, such as BBY. (C352.)

Review of OOCL's per diem detention and demurrage rates, however, shows that in contravention of this underlying principle and historical industry practice, OOCL has unreasonably sought to enrich itself through the assessment of detention and demurrage charges through exorbitantly high rates unconnected to the direct or opportunity costs associated with the underlying equipment. The McCown report details OOCL's current per diem detention and demurrage rates. (C353.)

As to the underlying direct ownership costs, the McCown Report explains that OOCL's per diem rates are multiples more than such costs, (C354),⁴ and are the same regardless of the length of the associated container's dwell, (C355), which is inconsistent with a practice that would assess detention and demurrage charges based on the promotion of freight fluidity rather than OOCL's own profit. Moreover, OOCL's detention and demurrage per diems are significantly higher (double digit multiples) than what they were just two decades ago, amounting to more than 100 times the actual daily carrying cost of the containers. (C356.) Finally, the McCown Report explains that when the additional direct cost of the land storage for container equipment is considered specifically in the context of the capital and maintenance cost of such equipment, OOCL's average U.S. port per diem of \$179 at the initial tier is **61 times** OOCL's actual carrying cost for demurrage situations and **126 times** the carrying cost for detention situations. (C357.)

⁴ Citing to Ex. 381 (McCown Report) ¶ 131 ("An initial observation is that the per diem rates are two and even three digit multiples more than the underlying direct ownership cost of a 40' container that can currently be estimated between \$0.80 to \$1.15 per day. Maintenance costs would add an estimated \$0.45 per day. The resulting multiple is so high relative to the underlying cost of owning and maintaining that container that the only conclusion is that direct cost has little if anything to do with the tariff rate.") [APP-3782].

These facts establish that OOCL’s detention and demurrage charges are being assessed in order to drive profit, rather than to promote freight fluidity as the incentive principle requires. (C358.)

Based on direct cost, Trailer Bridge represents a reasonable comparison for OOCL’s per diem detention and demurrage rates, (C359), which rates are 21% of OOCL’s rates and, if applied to reduce the detention and demurrage charges charged by OOCL to BBY during 2020-2022, would result in a refund to BBY of \$1,409,490.25 in excessive demurrage charges and \$4,768,924.23 in excessive detention charges. (C360.) (Such a reduction should apply even if the charges were justified under the facts and circumstances, including the incentive principle—but, as discussed below, the charges were wholly inappropriate and should be reduced to zero.) As to opportunity costs—basically, the cost to OOCL of taking a particular container out of service for a period of time—OOCL’s high detention and demurrage rates are also inconsistent with FMC rules. (C363.) Here, there was no opportunity cost to OOCL. OOCL personnel admit that, during the pandemic, OOCL’s container ships ran full on its headhaul lanes. (C125.1.) Accordingly, because there were no container shortages affecting OOCL’s ability to fill its ships, OOCL cannot claim “opportunity costs” as a basis for the detention and demurrage charges it assessed against BBY (or any of its customers) during the pandemic. (C363-364.)

These facts establish that OOCL’s detention and demurrage rates are unreasonable, are not set in order to compensate OOCL for any direct or opportunity costs associated with the use of its containers, and instead are used by OOCL as a means of driving revenue. (C365.) This point is underscored by OOCL’s own proffered expert, Lars Jensen, who in November 2021 described the shipping industry as a “de facto oligopoly”. (C366.) The same article also noted how the cargo container industry is dominated by Chinese government entities, which control access to containers and pricing. (C37.1.)

Accordingly, OOCL's detention and demurrage rates are not reasonably calculated either to compensate OOCL for the actual cost of container delays or to incentivize customers to move freight, and thus violate the incentive principle. (C723.)

2. OOCL assessed unreasonable detention and demurrage charges against BBY.

OOCL executive Paul Devine admitted during his deposition that OOCL knows that, in instances where a detention or demurrage charge was outside of the customer's control, the charge would not be appropriate under the FMC's incentive principle. (C368.) Nevertheless, in an opportunistic effort to manipulate port congestion and other disruptions caused by the pandemic, ocean carriers, including OOCL, began assessing massive amounts of detention and demurrage charges against their shipping customers during times when the incentive principle did not justify such charges. (C369.)

i. Port congestion significantly disrupted the flow of containers.

As described in the FOF/COL, marine terminals around the world, including those at Los Angeles/Long Beach, experienced severe congestion during the pandemic. (FOF/COL at Introduction, Section III, "Impacts of the COVID-19 Pandemic on the Shipping Industry".) OOCL was aware of the congestion impacting ports throughout the world, including in North America. (C370.) Specifically, OOCL knew and acknowledged that port and rail congestion impacted all of its BCO customers from 2020 through 2022, (C50); that a lack of chassis availability impacted shippers' ability to pick up containers from port, (C372); and that a lack of rail service impacted shippers' ability to pick up and drop off containers from ports. (C373.) These forces were beyond any of OOCL's customers' collective or individual control, as OOCL's employees noted during the course of the pandemic as well as in the course of discovery in this action. (C374.) Review of the ratio of detention and demurrage charges OOCL levied against BBY itself demonstrates this

fact: as the McCown Report notes, OOCL's charges to BBY for detention are more than three times those for demurrage, an imbalance that, partly because empty containers sitting at a shipper's facility provide no benefit to the shipper, indicates BBY was unable to return its containers due to factors outside its control. (C376.)

Due to these well-known disruptions at U.S. ports and associated infrastructure during the pandemic, most, if not all, of the delays incurred by shippers during this period were not reasonably within the shippers' control. (C377.) Because shippers during this period of significant disruption were generally unable to move containers because of extrinsic forces, there is no justification for detention or demurrage charges that cannot incentivize moves that shippers cannot make, (C724), and carriers may reasonably charge only enough to compensate them for their actual expenses associated with the carrying costs of equipment. (C725.)

The Ports of Los Angeles and Long Beach, specifically, which together handle about 40% of the nation's imports, experienced severe congestion throughout 2021 and early 2022. (C41.2) This congestion, driven by high consumer demand, the early Lunar New Year, and ongoing effects of the COVID-19 pandemic, led to significant delays in unloading and moving cargo.

- **July and August 2021:** The congestion was particularly severe, with ships queuing up to dock at these major ports. The L.A.-Long Beach ship queue stood at a record 44 vessels. (C41.3.)
- **September 2021:** The congestion persisted, leading to a record numbers of vessels arriving and waiting at Southern California ports. A record 73 ships were stuck outside—almost twice as many as at the same time in August. At the Port of L.A. alone, the amount of cargo handled was up 30% that year thus far, compared with the whole of 2020. (C41.4)
- **October 2021:** The average waiting time for ships to dock at port was about 10 days. Wait times had grown longer for ships to dock and unload cargo at other ports around the country. (C41.5.)
- **December 2021:** On December 20, 2021, the Port of LA Operations Report indicated that 24 container vessels were anchored within 40 miles (in-port area) and 67 were loitering/steaming toward the San Pedro Bay. Container vessels were waiting for an average of 19.9 to 33.4 days to reach a terminal to unload their containers. Starting

November 16, 2021, boats crossing the Pacific were asked to sit 150 miles offshore as they waited for a slot to unload their cargo, and boats traveling north or south along the coast were asked to sit 50 miles out. The containers witnessed dwell times that were at peak levels, on terminal as well as on the street. (C41.6-41.7.)

- **January 2022:** The Port of Los Angeles handled 865,595 TEUs, marking its busiest January. In January, a record 109 ships awaited entry into the combined ports of Los Angeles and Long Beach, often stretching to south Orange County. (C41.8-41.9.)

These disruptions at the critical entry points of LA/Long Beach led to widespread issues, affecting inventory levels and contributing to delays and increased costs in the supply chain. The ports and shipping lines implemented various measures to address the congestion, such as adding extra loaders and sweeper vessels to clear backlogs, but challenges remained due to the high volumes and logistical bottlenecks.

ii. OOCL assessed arbitrary and exorbitant detention and demurrage charges against BBY.

OOCL's practice of assessing high D&D Charges at high per diem rates against BBY during the pandemic was unreasonable and contrary to the incentive principle. (C725.) These D&D Charges are unreasonable. (C726.)

OOCL has admitted that it followed a policy of not forgiving detention or demurrage charges based on congestion at the ports. (C378.) As one OOCL employee contended when asked about waiving charges, OOCL refused to waive demurrage and detention charges because "[t]hat delay is not directly caused by OOCL", regardless of whether the delay is the fault of OOCL's customer. (C379.) In effect, OOCL maintained a policy of shifting the burden to its customers, first billing those customers demurrage and detention charges and then issuing refunds only if a customer could prove OOCL miscalculated the charges or that the charges were not due to the customer's fault. (C380.) This is the inverse of the incentive principle, with OOCL assessing D&D charges on its customers on a strict liability basis, regardless of whether the customer was to blame for delays in container movement. Consistent with the incentive principle and as explained in the

McCown Report, in the shipping industry, it is incumbent on the *carrier* to have the assets in place to perform the service they have committed to with its customers. (C727.)

In 2018, FMC Commissioner Rebecca Dye launched Fact Finding Investigation No. 28 to examine ocean carriers' and marine terminals' demurrage and detention practices, and her December 2018 findings, approved by the FMC in December 2019, stated in relevant part:

[A] carrier is obligated, as part of its contract of carriage, to tender for delivery cargo to a consignee. Tender requires more than depositing cargo on a 'reasonable pier.' To tender for delivery, unless the Customs or regulations of the port require otherwise, a carrier must: (1) unload cargo onto a dock or pier, (2) ***place it at a location where it is accessible to the consignee***, (3) segregate it by bill of lading and count, (4) give the notice to the consignee, and (5) ***afford the consignee a reasonable opportunity to come and get it***. In discharging this duty, the carrier is also required to provide, directly or through an agent, adequate terminal facilities.

This reasonable opportunity to pick up cargo is what the industry refers to as free time for demurrage. ***Because it is part of a carrier's transportation obligation, free time is not a gratuity***; the carrier or its agents or contractors (e.g. terminals) must provide it. Thus tender and demurrage are related: a carrier cannot charge demurrage unless it has tendered cargo for delivery. (emphasis added).

(C728] (quoting Fact-Finding Investigation No. 28 - Conditions and Practices Relating To Detention, Demurrage, and Free Time In International Oceanborne Commerce, 2018 WL 6791232, at *17 (FMC Dec. 3, 2018)).) The FMC subsequently built on these findings in its Interpretive Rule on Demurrage and Detention Under the Shipping Act, which became a final rule in May 2020. explaining that "as part of its transportation obligation, an ocean carrier must allow a shipper a 'reasonable opportunity to retrieve its cargo,' i.e., free time. Free time is 'free' because during this time period, an ocean carrier cannot assess any demurrage." (C729 (Interpretive Rule, 85 Fed. Reg. at 29638, 29650, 29652.)

This makes good sense, because the carrier sits at the center of the entire operation of coordinating cargo shipments under service contracts and "is the conductor on everything that is occurring related to a container movement." (C730.) To that end, OOCL should have been in

constant communication with BBY (and all of its customers) in order to make arrangements to complete OOCL's service commitments under the Service Contracts (and service contracts with its other customers). (C731.)

When pressed, OOCL's employees acknowledged as much, admitting that detention and demurrage charges should not be billed if customers were not responsible for delays in pickup or return. (C384.) Ultimately, OOCL's D&D practices were designed to squeeze further profits from its customers in addition to covering OOCL's costs. (C385-86.) Like other carriers during the pandemic, OOCL sought to maximize this revenue stream even further by refusing to fulfill its service commitments to ship further cargo until all demurrage charges had been paid. (C387; C386.)

OOCL knew its customers had issues with this practice in large part because its customers began to challenge the D&D charges accruing as a result of pandemic port congestion. (C388.) For example, OOCL received complaints from customers concerning demurrage charges accruing due to a lack of trucks in merchant moves. (C389.) In response to these challenges, OOCL denigrated its own customers as "cornered dogs" desperately "lashing out at whatever is in front of them." (C390.)

iii. OOCL maintained unreasonable invoicing and collection practices as to the detention and demurrage charges assessed against BBY.

OOCL's invoicing and collection practices as to D&D charges were also unreasonable. (C391.) [REDACTED]

[REDACTED] Additionally, OOCL used an antiquated system for accepting payment of demurrage charges that required actual payment of demurrage charges and would not accept guarantees, which led to delays due to the processing required for payments via check or wire transfer. (C393.1.) This policy contributed significantly to the escalation of demurrage cost. (C393.)

iv. OOCL did not have meaningful dispute resolution policies or practices as to the detention and demurrage charges assessed against BBY.

OOCL's Equipment Management Centre Detention & Demurrage team ("EMCDD"), which is based in OOCL's headquarters team in Hong Kong, oversees global D&D handling in general. (C396.) In May 2020, after the FMC issued its interpretive rules on demurrage and detention, OOCL set up a web page on OOCL.com to "guide[] customers on how to handle a dispute". (C397.) Otherwise, OOCL does not have a written policy to determine issuance of a refund. (C398.) This created issues in connection with other of OOCL's policies.

Instead of implementing a uniform procedure in compliance with the FMC interpretative rules on demurrage and detention, OOCL has established an internal process that is not accessible to its customers. (C399.) [REDACTED]

[REDACTED]

[REDACTED] When a customer disputes D&D charges, the issue is first directed to OOCL's detention and demurrage department for operational adjustment consideration, but "the operational adjustment cannot move on" unless the customer can demonstrate either that they are "totally not liable for the DD charge . . . because . . . there's internal mistake", or "provide validated information that a demurrage or detention claim should be excused under the FMC rules. (C401.) As a result, OOCL deemed many customers to have failed to meet its operational adjustment criteria, leading to a commercial adjustment request through their sales contact, in which OOCL's Trade Department considers only waivers of D&D Charges for commercially motivated adjustments, without evaluating the "validity" or appropriateness of the charges. (C402.) The FMC's incentive principle does not factor into OOCL's decision to waive detention or demurrage charges under commercial adjustment, because that process is a "purely a commercial decision". (C403.) In BBY's case, during the

relevant time period, “commercial mitigation was very tight.” (C404.) Adding to the challenges faced by customers, a commercial adjustment request would only be escalated to Hong Kong for endorsement of refunds exceeding local authority limits if it received support from the local Trade Department. (C405.)

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Moreover, OOCL’s dispute resolution process required a shipper to meet onerous documentation standards. (C408.) For example, from 2020 to 2022, when disputing a D&D charge due to a lack of appointments to return empty containers in Long Beach and LA, OOCL required customers to provide evidence such as screenshots or email records showing issues like dual transactions, lack of container availability, or terminal pickup appointment problems when requesting charge adjustments. (C409.) OOCL would also condition the release of unrelated containers on payment of disputed D&D charges. (C410.)

[REDACTED]

[REDACTED]

3. Factors outside of BBY’s control interfered with BBY’s *bona fide* and significant efforts to mitigate OOCL’s unreasonable detention and demurrage charges.

Throughout this period, BBY made Herculean efforts to minimize D&D charges and get containers moved and returned in a timely manner. (C413.) However, in addition to the macro conditions discussed above, several other factors interfered with BBY’s ability to mitigate the detention and demurrage charges assessed against it by OOCL. (C414.)

For example, in November 2021, BBY went to extreme effort and expense to move long-dwelling freight, including transshipping containers to inland facilities for processing because there was not adequate service in the vicinity of OOCL's terminal to move the containers any other way. (C415.) To address over 100 containers stuck at the Long Beach port due to a lack of chassis, BBY wrote to OOCL, asking if OOCL "[has] any ability to transfer [to the] UP railroad, that might be our fastest path to exit these containers. We are considering moving them to Seattle." (C416.) OOCL flatly rejected this proposal, stating that "this option will not work," and denied BBY's request to waive charges, asserting that "Trade will not waive unless there is justification which the customer must present." (C416.1.) Ultimately, OOCL threatened to suspend all bookings unless BBY moved the containers at significant additional cost, advising BBY that "there will be a Corporate mandate to put 'At Risk' customers on a list for either total suspension of bookings at origin or suspension of only LALB bookings." (C417.) In short, OOCL held BBY's bookings hostage until BBY agreed to pay exorbitant charges incurred when no chassis was available. Subsequent to this, in late 2021/early 2022, BBY's senior logistics employee Reid Klosowsky took the unusual step of visiting OOCL's LA/Long Beach terminal and personally observed that conditions arising from the supply chain disruptions had basically slowed the flow of containers from the terminal to a halt, despite BBY's (and other shippers') best efforts to move cargo. (C418.)

Throughout the pandemic, BBY provided OOCL with documentation and justifications supporting its disputes as to the D&D Charges. (C419.) BBY was particularly motivated to resolve these charges quickly, because OOCL employed a practice of deprioritizing allocations for customers with outstanding D&D charge balances. (C420.) [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Several factors interfered with BBY's ability to mitigate the accrual of detention and demurrage charges under OOCL's policies, and OOCL was plainly aware of issues with port congestion during the pandemic. (C425.) During the pandemic, the regular flow of containers was interrupted, causing large batches to arrive all at once and leading to long dwelling containers. (C427.) Indeed, at points throughout the pandemic, the glut of containers effectively slowed the flow of containers from terminals to a halt, (C428), an issue that impacted a huge number of shippers in addition to BBY. (C429.) This congestion worsened over the course of the pandemic, (C430), leading to a variety of issues, including but certainly not limited to:

- Containers being unable to be picked up, (C431);

- Ocean carriers did not allow empty containers to be terminated at the East Coast destination, necessitating their return to the West Coast, which was costly and impractical, (C434);
- Challenges faced in loading cargo, particularly due to frequent operational issues such as dropped port calls, often led to significant amounts of cargo being left unshipped, despite having sufficient freight to meet allocations, (C435);

BBBY incurred significant expense trying to deal with these challenging extrinsic conditions. (C436.) It is important to note from the outset that BBBY never deliberately failed to pick up containers, and indeed was incentivized not to leave containers at port, because demurrage charges were more expensive than warehousing goods. (C413.9.) BBBY was also incentivized to avoid detention, because detention charges effectively ***doubled BBBY's costs*** because detention charges apply when a container is under a shipper's control, thus requiring the shipper to pay both the charges and storage costs. (C413.9.1.)

To avoid these costs, BBBY:

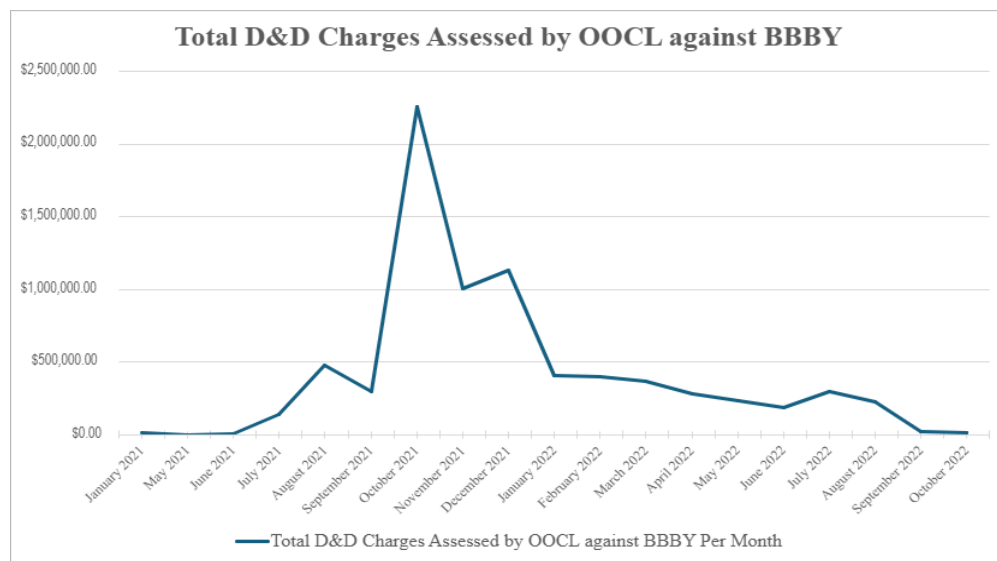
- Transshipped containers to inland facilities for processing in order to move long-dwelling freight, (C413.1);
- Took on extra drayage costs to move containers to locations with available space, (C413.2);
- Utilized additional distribution centers in order to process freight more quickly, (C413.3), including by hiring and utilizing an additional storage provider at the distribution centers and warehouses and pooling points, (C413.4);
- Took the unprecedented step of chartering two vessels on its own to get goods in store, (C341);
- Brought in additional carriers to help address shipping backlogs; (C413.5);
- Pre-pulled containers to arrange storage so as to minimize demurrage charges, a process that was out of the ordinary and involved approving additional costs, (C413.6.)

In addition to all of the above, BBBY engaged the services of a new drayage vendor, EDRAI, to streamline the demurrage payment process. (C413.7.) For EDRAI's services, BBBY paid a 2% fee on the total demurrage paid using their service. (C413.8.) At different points throughout the pandemic, BBBY organized calls that included EDRAI, carriers, and distribution

centers in order to help coordinate solutions to port congestion and shipping backlog issues.
(C413.9.)

Ultimately, despite all of BBY's efforts, the improper D&D Charges levied by OOCL continued to mount throughout the 2020 and 2021 Shipping Years. Indeed, as the below chart shows, OOCL's D&D Charges assessed against BBY coincided with the periods of the worst congestion and equipment shortages at the ports of LA/Long Beach:

Chart 1:



(C437.1; *see also infra* Arg.II.D.2.i.)

E. Count II, Element 5: OOCL's policies and practices of assessing unreasonable detention and demurrage charges against BBY are the proximate cause of BBY's claimed losses.

During the period of 2020 to 2022, OOCL assessed exorbitant D&D charges against BBY. Due to OOCL's unjust and unreasonable regulations and practices, BBY incurred, and paid, charges in excess of \$10 million.

Accordingly, OOCL's practices and regulations were the proximate cause of the loss.
(C735.) "[A] party must show that it is entitled to a specific reparation, i.e., that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with

‘reasonable certainty.’” *Rose Int’l, Inc.*, 2001 WL 865708 at *80 n.75, (FMC 2001); *see also OJ Commerce, LLC*, 2024 WL 4034610, at *21-23 (approving damages calculation on basis of detailed spreadsheet submitted by the complainant reflecting actual shipments); *Adair*, 1991 WL 383091 at *23 (“proof of injury or damages must rest on reliable evidence that shows that the violation of law was the proximate cause of the damages.”). The Commission has held that payment of D&D charges is sufficient to establish proximate cause and injury. (C736. (citing *Hapag-Lloyd, A.G. et un.-Possible Violations of 46 U.S.C. S 41102(c)*, Dkt. No. 21-09, 2022 WL 1239377, at *34 (FMC April 22, 2022) (Initial Decision); *A Customs Brokerage, Inc. v. Cargocare Logistics Usa, Inc. et un.*, Dkt. No. 1987(I), 2023 WL 11645622, at *13 (FMC July 17, 2023) (Claimant “demonstrates that it incurred damages in the amount of \$20,970 (FF 36), the amount it seeks as reparations, because of the double payments it was forced to make to obtain its shipments due to Respondents’ conduct.”)).)

III. Count III (“Conduct not in accordance with Service Contracts”): OOCL’s Provision of Service to BBY under the Service Contracts was not in Accordance with the Rates, Charges, Classifications, Rules, and Practices Contained in the Service Contracts and Constitutes a Violation of 46 U.S.C. § 41104(a)(2).

46 U.S.C. Section 41104(a)(2) provides that common carriers may only provide ocean transportation services “in accordance with the rates, charges, classifications, rules and practices” in their service contract unless an exception applies. (C737 (46 U.S.C. § 41104(a)(2)(A)); C738 (“The Shipping Act requires common carriers to abide by the terms of their published tariffs and service contracts.” *Santa Fe Discount Cruise Parking, Inc., v. The Board of Trustees of the Galveston Wharves*, FMC Docket No. 4-06, 2021 FMC LEXIS 56, at *2 (FMC April 16, 2021).) The parties do not assert that the service contract has been suspended or prohibited, so 46 U.S.C. Section 41102(a)(2)(B) does not apply. (C739.)

A. OOCL’s actions of “systematically failing to meet its service commitments” were not in accordance with the rates, charges, classifications, rules, and practices contained in the parties’ Service Contracts.

As discussed above, the Service Contracts as originally agreed to by the parties required a minimum quantity commitment of 2,100 FEUs during the 2020 Service Contract year and 3,796 FEUs during the 2021 Service Contract year. (*Supra* Intro.II, Arg.I.D.1].) BBY sought to use these full amounts by diligently providing OOCL updated container forecasts; generally seeking to ship products with OOCL 60 days earlier than BBY’s regular practice to alleviate bottlenecks; and engaging third-party agents to handle bookings on its behalf. (*Supra* Arg.I.D.1.) OOCL, however, failed to carry BBY cargo equaling the MQCs and ultimately only carried approximately 1,475 of the required FEUs during the 2020 Service Contract year and approximately 2,432 of the required FEUs during the 2021 Service Contract year. (*Supra* Arg.I.B.) OOCL’s systematic failure to meet its service commitments, not in accordance with the Service Contracts, violates 46 U.S.C. Section 41104(a)(2). (C742.)

B. OOCL’s actions of “seeking to coerce BBY to pay PSS and enter into premium rate contracts” were not in accordance with the rates, charges, classifications, rules, and practices contained in its Service Contracts with BBY.

OOCL’s actions of seeking to coerce BBY to pay PSS and enter into premium rate contracts also violate 46 U.S.C. Section 41104(a)(2). (C743.) As discussed above, the Service Contracts, as agreed upon, were not subject to the imposition of Peak Season Surcharges (PSS) or premium rates. (*Supra* Arg.I.D.2; *see, e.g.*, [REDACTED])

[REDACTED] Nonetheless, OOCL extracted additional payments by coercing BBY to agree to PSS, [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] This scheme resulted in BBY incurring approximately \$13.7 million in additional costs beyond the amounts stipulated by the parties under the original Service Contracts. (C282.) [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

IV. Count IV (“Retaliation”): OOCL’s Actions and Omissions Constitute Retaliation against BBY and a Violation of the Former 46 U.S.C. § 41104(a)(3) (Now Codified At 46 U.S.C. § 41102(d)).

A. Count IV, Element 1: BBY is a shipper.

BBY is a shipper. (C750.) The Commission has clarified that “shipper” is defined broadly for purpose of retaliation:

Unless amended by Congress, § 41104(a)(3) applies only to prohibited conduct directed at a “shipper.” But this term protects entities other than just the cargo owner. The term “shipper” means a cargo owner, the person for whose account the ocean transportation of cargo is provided, the person to whom delivery is to be made, a shippers’ association, or a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract. In contrast, passengers on a vessel, unless they otherwise fall within the definition of shipper, are not protected entities under § 41104(a)(3).

Statement of the Commission on Retaliation, FMC Docket No. 21-15, 3 F.M.C.2d 201, 207, 2021 WL 9204128, at *4 (FMC Dec. 28, 2021). (C751.) BBY easily meets this standard.

B. Count IV, Element 2: BBY engaged in protected activity.

Section 41104(a)(3) identifies three categories of protected activity: filing a complaint, patronizing another carrier, or, broadly, “for any other reason”. In *OJ Commerce*, the Presiding Officer found that threats to file a complaint with the Commission, while not expressly mentioned in the Commission’s statement on retaliation, were part of the category encompassed in “any other reason”: “Ideally, parties should be able to discuss what they think could be Shipping Act violations as soon as possible, so the parties can work toward resolving them before they become violations or lead to litigation. These conversations may be limited if ‘threats’ to file a complaint are not included in the anti-retaliation provisions as shippers may hesitate to raise issues without the protection of the anti-retaliation provision.” (C753 (quoting *OJ Commerce, LLC*, 2023 WL 3969857, at *39).) The Presiding Officer there relied in part on the Statement on Retaliation to find:

The statutory language, by including the phrase “or for any other reason” explicitly applies this section beyond cases where the shipper has patronized another carrier or has filed a complaint . . . [to include] . . . the threat to file a complaint with the Commission. . . . It is reasonable to anticipate that threats of prohibited conduct would be encompassed under the “for any other reason” language, and so finding is consistent with the Commission’s Policy Statement regarding interpreting the anti-retaliation provision broadly.

(C754 (quoting *OJ Commerce, LLC*, 2023 WL 3969857, at *38; C747.) The Commission affirmed “the ALJ’s finding that [the complainant]’s notice of intention to file a case with the Commission is protected by the Commission’s prohibition on retaliation ‘for any other reason’.” (C755 (quoting *OJ Commerce, LLC*, 2024 WL 4034610, at *16); accord C747 (FMC Probing Shipping Lines’ Anti-Retaliation Compliance, <https://www.fmc.gov/fmc-probing-shipping-lines-anti-retaliation-compliance/> (December 15, 2022) (statement by FMC Chairman Daniel B. Maffei that “it is absolutely illegal for ocean carriers to discriminate or retaliate against a shipper for... *challenging a charge.*”).)

[REDACTED]

[REDACTED] BBY's threat to file a petition with the FMC, as indicated in the October 2021 Letter, falls within the category encompassed by the "any other reason" language pursuant to the former Section 41104(a)(3). (C756.) Indeed, even prior to the October 21 Letter, BBY had submitted complaints to OOCL based on OOCL's failure to perform under the Service Contracts, as well imposition of higher rates on BBY shipments than called for in the Service Contracts and PSS. (*Supra* Arg.I.D.2) [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

1. BBY's October 2021 Letter and other complaints are "protected activity".

Commission precedent holds "that threats of prohibited conduct would be encompassed under the 'for any other reason' language . . .". (C754 (quoting *OJ Commerce, LLC*, 2023 WL 3969857, at *38).) Notably, FMC Chairman Maffei has explicitly interpreted this language to have "made it clear that it is absolutely illegal for ocean carriers to [] retaliate against a shipper for [] challenging a charge." (C747.)

These precedents and interpretations are widely in line with the federal courts, which have consistently interpreted anti-retaliation provisions across various regulatory regimes to protect

informal and preliminary steps that further statutory enforcement goals, not just formal complaints, (C757):

- The National Labor Relations Board has long interpreted the National Labor Relations Act’s protection for “concerted activities” to encompass informal workplace discussions and complaints to management, recognizing that limiting protection to formal charges would undermine the statute’s remedial purposes. *N. L. R. B. v. Washington Aluminum Co.*, 370 U.S. 9, 14 (1962) (“[w]e cannot agree that employees necessarily lose their right to engage in concerted activities under s 7 merely because they do not present a specific demand upon their employer to remedy a condition they find objectionable”).
- In the employment discrimination context, the Supreme Court in *Crawford v. Metropolitan Government of Nashville* interpreted Title VII’s protection for employees who “oppose” discriminatory practices to encompass informal complaints to supervisors, HR inquiries, and even discussions with coworkers during internal investigations. 555 U.S. 271, 279 (2009) (“[i]f it were clear law that an employee who reported discrimination in answering an employer’s questions could be penalized with no remedy, prudent employees would have a good reason to keep quiet about Title VII offenses against themselves or against others.”).
- Under Sarbanes-Oxley’s whistleblower provisions, courts have held that protected activity includes internal reports to supervisors and informal tips to auditors, extending well beyond formal SEC complaints. *Rhinehimer v. U.S. Bancorp Invs., Inc.*, 787 F.3d 797, 805 (6th Cir. 2015) (protected activity “includes ‘any lawful act done by the employee’ to provide information to a supervisor [] regarding” unlawful conduct).
- The Supreme Court has specifically endorsed this approach in the wage and hour context, holding in *Kasten v. Saint-Gobain* that the Fair Labor Standards Act’s anti-retaliation provision protects oral complaints to supervisors, not just formal written complaints. 563 U.S. 1, 9–10 (2011). Critically, in that case the Supreme Court’s decision hinged on the inclusion of the word “any”, which is also present in the phrase at issue here: “for any other reason”. *Id.* (“[f]ilings may more often be made in writing... [b]ut we are interested in the filing of ‘any complaint.’ So even if the word ‘filed’, considered alone, might suggest a narrow interpretation limited to writings, the phrase ‘any complaint’ suggests a broad interpretation that would include an oral complaint.”).

Understandably, regulatory anti-retaliation provisions are consistently interpreted to protect the full range of activities that could lead to formal enforcement, not just the filing of formal complaints. (C758.) This common interpretation protects preliminary steps that may ultimately lead to formal action, thereby furthering the statutory scheme’s enforcement goals. (C759.) The Commission’s interpretation of the former 46 U.S.C. Section 41104(a)(3)’s “any other reason”

language to protect informal complaint resolution follows this well-established pattern of interpretation and furthers the congressional intent of protecting shippers. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Under this well-established and well-informed canon of construction, it is clear that the October 21 Letter constitutes protected activity under the former Section 41104(a)(3). (C756.) The letter explicitly mentioned challenging OOCL’s detention and demurrage charges because OOCL did not satisfy the guidelines issued by the FMC. (C761.)

First, this clearly invokes FMC Chairman Maffei’s comments “that it is absolutely illegal for ocean carriers to [] retaliate against a shipper for [] challenging a charge,” because the letter does precisely that. Second, the former 46 U.S.C. Section 41104(a)(3) includes the words “for any other reason”, demonstrating that Congress intended for the statute to protect a broad range of activity against which carriers might retaliate. (C762 (citing *Am. Civil Liberties Union Immigrants’ Rights Project v. United States*, 58 F.4th 643, 657 (2d Cir. 2023) (“More to the point, ***the statutory use of the word ‘any’ has long signaled Congress’s intent to sweep broadly*** to reach all varieties of the item referenced”)) (emphasis added); *Republic of Iraq v. Beaty*, 556 U.S. 848, 856 (2009) (“the word ‘any’ . . . has an expansive meaning, giving us no warrant to limit the class . . .”).) If Congress did not intend to protect a shipper complaining that charges were out of line with FMC guidance, or demanding refunds of improper charges, then it chose remarkably broad language when it drafted the former Section 41104(a)(3). Such an interpretation would go against the established canons of statutory interpretation discussed above.

Moreover, as a matter of common sense and public policy, any anti-retaliation provision must be read broadly to protect preliminary steps in order to have any effect at all. In the long history of this matter, BBY challenged many charges, complained about OOCL's conduct, sent formal letters, and ultimately did file a formal complaint with the FMC. To hold OOCL harmless for any retaliation that OOCL undertook at any stage in that progress—whether the retaliation took place between the initial complaints and the formal letters, or between the letters and the filed complaint—would have the perverse effect of encouraging carriers to retaliate *fast and hard* at the earliest sign of discontent from a customer, in order to inflict maximum injury before the customer has a chance to file a formal complaint. Such an outcome would be completely at odds with the purpose of the anti-retaliation provision, which was enacted to prevent, not encourage, retaliation.

2. OOCL's employees interpreted BBY's October 2021 Letter as a threat to file a complaint with the FMC.

[REDACTED]

[REDACTED]

C. Count IV, Element 3: OOCL is an ocean common carrier.

This element has been established. (*Supra* Introduction I.B.)

D. Count IV, Element 4: OOCL engaged in prohibited conduct.

The former 46 U.S.C. Section 41104(a)(3), now codified at 46 U.S.C. Section 41102(d), prohibits a common carrier from “refusing, or threatening to refuse, cargo space accommodations when available,” or resorting “to other unfair or unjustly discriminatory methods.” 46 U.S.C. § 41104(a)(3). (C651[.]) The Commission’s Statement on Retaliation clarifies that “it will interpret 46 U.S.C. § 41104(A)(3)—the anti-retaliation provision—broadly to effectuate Congress’s intent that shippers feel free to air their grievances to the Commission, and to address new shipping

practices and new forms of retaliation.” Statement of the Commission on Retaliation, 2021 WL 9204128, at *1. (C653.)

Chairman Daniel B. Maffei stated in a press release on December 15, 2022:

The Ocean Shipping Reform Act made it clear that it is absolutely illegal for ocean carriers to discriminate or retaliate against a shipper for filing a complaint ***or challenging a charge***. The FMC will thoroughly investigate any allegation of illegal behavior and prosecute aggressively when warranted. This is something that everyone in a company, from the newest sales associate to the CEO, must understand and that is why the VOCC Audit Team is carrying this message directly to ocean carriers serving the United States. Even a simple verbal threat to a shipper from an ocean carrier employee could undermine U.S. law and will not be tolerated.

(C747 (emphasis added (*quoting* FMC Probes Shipping Lines’ Compliance with Anti-Retaliation Rules, *The Maritime Executive* (December 15, 2022), <https://maritime-executive.com/article/fmc-probes-shipping-lines-compliance-with-anti-retaliation-rules> [APP-5023-5028])).)

3. OOCL engaged in retaliation by refusing to accept BBBY’s bookings during the 2021 Shipping Year and assessing punitive D&D Charges.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

OOCL followed through on its discussion of “deselection”, ultimately falling far short of its service commitment for that year. (C460.) This is borne out by the facts: of the 2,432.74 (out of 3,796) FEUs that OOCL did carry for BBBY under the 2021 Service Contract, OOCL carried only 958.875 subsequent to BBBY’s October 2021 letter, or approximately 40% of the total. (C461.) Given that OOCL carried in the first five months of the 2021 Shipping Year 60% of what

it ultimately carried for BBY under the 2021 Service Contract, OOCL's rapid deceleration of shipped cargo demonstrates that OOCL was moving away from its business with BBY in retaliation for BBY's protected challenge to OOCL's practices. Even more telling, of the \$7,820,777.83 in D&D Charges complained of by BBY under Count II, OOCL assessed (and failed to waive) a whopping \$5,093,099.34 (65%) *after* BBY sent its letter on October 18, 2021. (C462.)

4. OOCL engaged in retaliation by offering rates to BBY significantly higher than those offered to other shippers with similar service contracts for the 2022 Shipping Year.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

OOCL's conduct is a classic unreasonable refusal to deal, taken in direct retaliation for protected activity by BBY. (C671-671.3) (citing 46 C.F.R. § 542.1 ("The following are examples of the kinds of conduct that may be considered unreasonable under 46 U.S.C. 41104(a)(10) when linked to a refusal to deal or negotiate: . . . *Quoting rates that are so far above current market rates they cannot be considered a good faith offer or an attempt at engaging in good faith negotiations*".))

5. OOCL engaged in retaliation by discriminatorily reducing BBY's MQC as a precondition to entering into a service contract for the 2022-23 shipping year.

OOCL also discriminated against BBY by reneging on its discussion of a 2022-2023 shipping year MQC equaling the MQC from the 2021 Shipping Year and instead reducing that MQC by 17% as a precondition to entering into a service contract for the 2022-2023 shipping year.

(C471.) [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]

[REDACTED] The [REDACTED] difference between the MQC in the 2021 Service Contract and the ultimate MQC commitment included in the service contract for the 2022-2023 shipping year between OOCL and BBY was intended by OOCL as retaliation against BBY in response to BBY's threats to OOCL of bringing FMC litigation based on OOCL's unlawful practices and policies. (C474.)

OOCL executive Paul Devine admitted during his deposition that OOCL was comfortable treating shippers who complained that OOCL was not complying with FMC rules as "problem customers" and reducing their MQCs. (C475.) [REDACTED]

[illegible]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

OOCL’s retaliation is the same type of conduct found to be discriminatory in *OJ Commerce*. Here, as in *OJ Commerce*, OOCL demonstrated a pattern of behavior designed to “deselect” BBBY from receiving space allocation due to perceived threats to pursue action in the FMC. See *OJ Commerce, LLC*, 2023 WL 3969857, at *24-28. As a result of BBBY’s protected activity, OOCL offered BBBY [REDACTED] for the 2022-2023 service contract than it had previously agreed to provide, (C486), akin to the respondent’s decision in *OJ Commerce* not to award the complainant there a 400-FEU service contract in retaliation for protected conduct. (C767 (citing *OJ Commerce, LLC*, 2023 WL 3969857, at *54-56 (finding that the respondent “would have agreed” to grant complainant an MQC of 400 FEUs but for its retaliatory conduct and finding as an appropriate measure of damages that entire withheld volume multiplied by the per-unit profits).)

6. OOCL engaged in retaliation by refusing any rate reductions requested by BBBY.

As the 2022-2023 shipping year wore on, BBBY continued to request rate adjustments during its renegotiations with OOCL due to the growing disparity between OOCL’s service contract rates and then-current market conditions, but OOCL refused any rate reductions requested by BBBY and persisted with its high rates. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

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[REDACTED]

[REDACTED]

7. There is no lawful justification for OOCL’s retaliation.

There is no justification for OOCL’s policies/actions. (C500.) OOCL internally discussed letters from BBY that they considered “threatening” when deciding on services to offer BBY.

(C501.) [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

BBBY's recourse to spot market shipping does not ameliorate BBBY's refusal, because "the spot market offers neither certainty the cargo will ship nor certainty the price will be palatable." (C766.1-766.3 (quoting *OJ Commerce, LLC*, 2024 WL 4034610, at *14.)

V. Count V ("Unreasonable refusals to deal or negotiate"): OOCL Unreasonably Refused to Deal or Negotiate with BBBY in Violation of 46 U.S.C. § 41104(a)(10).

A. Count V, Element 1: OOCL is an ocean common carrier.

This element has been established. (*Supra* Introduction I.B.)

B. Count V, Element 2: OOCL refused to deal or negotiate with BBBY.

1. OOCL failed to accept bookings or make space available to fulfill its MQC service commitments to BBBY.

OOCL's actions in failing to make reasonable accommodations to provide space to BBBY under the Service Contracts, failure to accurately track BBBY's booking attempts, and engaging in a scheme to withhold service by refusing to make reasonable accommodations to provide space to BBBY and other of its BCO customers, amount to an unlawful refusal to deal with BBBY under 46 U.S.C. Section 41104(a)(10). (C506; C775.)

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] OOCL had available cargo space but deliberately chose not to honor its commitments. (*Supra* Arg.I.D.4.)

2. OOCL failed to provide contracted space to BBY without PSS or premium rates.

As reflected above, OOCL's utilization of PSS and premium rate contracts to compel BBY to pay exorbitant extracontractual charges on top of contract rates and pressure BBY to outbid others through premium contracts, in addition to violating 46 U.S.C. Section 41102(c), constitutes an unreasonable refusal to deal under 46 U.S.C. Section 41104(a)(10). (C506; C776.)

3. OOCL failed to assess D&D charges in a reasonable manner.

OOCL's assessment of the D&D Charges, or at least a substantial majority thereof, and the acts or omissions of OOCL that led to the assessment of such D&D Charges also constitute violations of 46 U.S.C. Section 41104(a)(10)'s prohibition on unreasonable refusals to deal or negotiate. (C509; C777.) When BBY raised concerns about OOCL's questionable D&D Charges, OOCL responded negatively, failing to provide explanations for weeks; imposing onerous documentation requirements; and conditioning the release of unrelated containers on the payment of disputed D&D charges. (*Supra* Arg.II.D.2.iv; C406; C408; C410.) Effectively, OOCL refused to address disputed invoices or provide necessary or requested information, thereby unreasonably refusing to deal or negotiate with BBY. (C510.)

4. OOCL failed to engage in negotiations for the 2022-2023 shipping year in a reasonable manner.

As demonstrated above, OOCL's retaliatory refusal to enter into reasonable negotiations for the 2022-2023 shipping year, in terms of OOCL's decision to withdraw its previously agreed MQC by [REDACTED] and to quote artificially high rates for the MQC that OOCL did agree to award BBY, constitutes a violation of 46 U.S.C. Section 4104(a)(10)'s prohibition on unreasonable refusals to deal or negotiate. (C511; C778.)

C. Count V, Element 3: OOCL’s refusals were unreasonable.

“Refusals to deal or negotiate are factually driven and determined on a case-by-case basis.” *OJ Commerce, LLC*, 2024 WL 4034610, at *9. “[I]n determining reasonableness, [the Commission] will look to whether a marine terminal operator gave actual consideration to an entity’s efforts at negotiation.” (C780 (quoting *Canaveral Port Auth.-Possible Violations of Section 10(B)(10), Unreasonable Refusal to Deal or Negotiate*, FMC Docket No. 02- 02, 2003 WL 723336, at *18 (FMC Feb. 24, 2003)).)

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] “[Spot premium carriage and service contract carriage] are qualitatively different products” and “finding a refusal to deal does not require finding a carrier shut out a shipper from both types of products.” *OJ Commerce, LLC*, 2024 WL 4034610, at *11; *see also id.* at *10 (finding a refusal to deal despite the carrier’s argument that it did not refuse to deal, as emails from the carrier’s employees revealed that sufficient space was available during this period to meet the MQC).

[REDACTED]

[REDACTED]

[REDACTED]

VI. Reparations

The following sections provide the amounts of reparations owed to BBY by OOCL for each Count. For ease of reference, a summary of the reparation types and amounts is set forth in the following table:

Table 1:

Count (Reparation Type):	Reparations Amounts:
Count I: MQC Shortfalls (2020 Service Contract)	\$3,146,072.00
Count I: MQC Shortfalls (2021 Service Contract)	\$19,563,799.79
Count I: PSS/Premium Contract Charges (2020 Service Contract)	\$7,109,296.00
Count I: PSS/Premium Contract Charges (2021 Service Contract)	\$6,623,453.00
Count II: Demurrage Charges	\$1,784,164.88
Count II: Detention Charges	\$6,036,612.95
Count III: Conduct not in accordance with Service Contracts	(Additional basis for Counts I & II damages)
Count V: Refusal to Deal	(Additional basis for Counts I & II damages)
Subtotal:	\$44,263,398.62⁵
Count IV: Retaliation	\$31,280,352.13
Doubles statutory reparations (MQC Shortfalls (2021 Service Contract); PSS/premium charges (2021 Service Contract); D&D Charges post-October 18, 2021)	
Subtotal:	\$75,543,750.75
Count V: Refusal to Deal (2022-2023 Shipping Year Lost Profits)	\$44,906,060.97
Count IV: Retaliation	\$44,906,060.97
Doubles 2022-2023 Shipping Year Lost Profits	
Grand Total:	\$165,355,872.69

(C513.)

A. Count I (“Unjust and unreasonable failure to meet service commitments under the Service Contracts”)

As to Count I, BBY is entitled to reparations from OOCL in the amount of \$36,442,620.79. (C782.)

⁵ In the alternative, if the Presiding Officer were to use BBY’s average profits per container during the relevant time period as the measure of BBY’s injury for purposes of calculating reparations, BBY would be entitled to lost profits in the amount of \$133,055,566. (*Infra* Arg.VI.F.)

“[T]he proper measure of damages is not reduced to one simple formula, but must be evaluated on the individual facts of the case and calculated in order to make the injured party whole.” *Kobel v. Hapag-Lloyd A.G.*, FMC Docket No. 10-06, 2014 WL 5316331, at *14 (ALJ July 30, 2014) (Remand Initial Decision), *aff’d*, 2015 WL 3465821 (FMC May 26, 2015).

“Reparations claims that come before the Commission generally involve lost or damaged cargo, and the Commission bases reparations either on the cargo market price or the invoice price paid by the complainant. The method chosen depends on the evidence available and which calculation more accurately measures the actual loss.” *Mavl Capital Inc. v. Marine Transport Logistics, Inc.*, FMC Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022) (quoting *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, FMC Docket No. 88-15, 25 S.R.R. 1213, 1990 WL 427466, at *23 (FMC Oct. 19, 1990)).

Appendices A-1 through A-4 of the McCown Report reflect actual shipments undertaken by BBY during the term of the 2020 Service Contract on lanes that were supposed to be covered by the 2020 Service Contract, using NVOs or freight forwarders, as OOCL was failing to meet its service commitments under the 2020 Service Contract. (C515; C785.) Appendices A-1 through A-4 of the McCown Report apply the methodology approved by the FMC in the *MCS Industries* action to OOCL’s shortfalls on its 2020 Service Contract with BBY. (C785 (citing *MCS Industries, Inc. v. MSC Mediterranean Shipping Co. SA*, FMC Docket No. 21-05, 2024 WL 3514613, at *14-20 (FMC July 16, 2022) (Order Affirming Initial Decision on Remand)).) As summarized in Appendix A-4, BBY had to incur additional incremental expenses of \$3,146,072.00 in connection with OOCL’s shortfall during the 2020 Service Contract year. (C786.)

Appendices B-1 through B-4 of the McCown Report reflect actual shipments undertaken by BBY during the term of the 2021 Service Contract on lanes that were supposed to be covered

by the 2021 Service Contract, using NVOs or freight forwarders, as OOCL was failing to meet its service commitments under the 2021 Service Contract. (C516.) Appendices B-1 through B-4 of the McCown Report apply the *MCS Industries* methodology to OOCL's shortfalls on its 2021 Service Contract. (C787.) As summarized by Appendix B-4, BBY had to incur additional incremental expenses of \$19,563,799.79 as a result of OOCL's shortfall during the 2021 Service Contract year. (C788.)

OOCL's own proffered expert Steffen conceded that he could identify no error in BBY's calculation of shortfall damages as to Count I. (C517-18)

OOCL's imposition of PSS, other surcharges, and demand for premium contracts damaged BBY by \$7,109,296.00 during the term of the 2020 Service Contract and \$6,623,453.00 during the term of the 2021 Service Contract. (C789.) OOCL's strategic shift to demanding high PSS and premium rates, while deliberately failing to meet its service commitments, was the result of an unreasonable practice designed to maximize OOCL's profitability at its customers' expense. (*Supra* Arg.I.D.1-2; C790.) OOCL's actions were designed to, and did, frustrate the purpose of a fixed-rate service contract by forcing fixed-rate BCO customers to essentially pay spot market rates through the use of enormous PSS and premium contract charges. (*Supra* Arg.I.D.1-2; C791.) If OOCL had honored its service commitments instead of ratcheting up rates to achieve spot market-level returns, BBY would not have been subject to the \$13.7 million in PSS and premium charges that it had to pay. (C792.)

OOCL's own proffered expert Steffen conceded that he could identify no error in BBY's calculation of PSS/premium rate damages as to Count I. (C519-20.)

B. Count II (“Unjust and unreasonable assessment of Detention and Demurrage Charges”)

As to Count II, BBY is entitled to reparations from OOCL in the amount of \$7,820,777.83. (C793.)

Appendix C of the McCown Report reflects payments made by BBY for D&D Charges charged by OOCL for OOCL shipments. (C522.) Consistent with the allegations in the Complaint, Appendix C reflects that OOCL charged BBY \$1,784,164.88 in demurrage charges and \$6,036,612.95 in detention charges. (C523.)

During the time period relevant to this action, supply chain disruptions prevented the normal application of the incentive principle. (C794.) BBY went to extensive efforts to move containers, but conditions and actions of others beyond BBY’s control caused BBY to incur excessive detention and demurrage charges. (C795.) Moreover, OOCL’s per diem rates are extremely high, both as compared to OOCL’s actual carrying cost (approximately *1%* of OOCL rates) and to comparable rates by carriers such as Trailer Bridge (only approximately *21%* of OOCL rates). (C796.) Furthermore, because OOCL admittedly was able to sail its vessels full on transpacific routes throughout the relevant time period, there was no lost opportunity cost associated with any delays in moving or returning containers. (C797.)

Accordingly, the \$1,784,164.88 in demurrage charges and \$6,036,612.95 in detention charges, as reflected in Appendix C to the McCown Report, were unreasonable in light of the relevant facts and circumstances discussed above. (C798.)

OOCL’s expert Steffen conceded that he could identify no error in BBY’s calculation of detention and demurrage damages as to Count II. (C524.1; C525.)

C. Count III (“Conduct not in accordance with Service Contracts”): OOCL’s Provision of Service to BBY under the Service Contracts was not in Accordance with the Rates, Charges, Classifications, Rules, and Practices

Contained in the Service Contracts and Constitutes a Violation of 46 U.S.C. § 41104(a)(2).

As to Count III, which provides an alternative basis for the same reparations BBY claims under Counts I and II, (C799.1), BBY is entitled to reparations from OOCL in the amount of \$44,263,398.62. (C799.)

D. Count IV (“Retaliation”)

As to Count IV, BBY is entitled to reparations from OOCL in the amount of \$31,280,352.13 for OOCL’s violations in Counts I through III and, as described further below, an additional \$44,906,060.97 for OOCL’s unreasonable refusals to deal as it relates to the 2022-2023 shipping year (Count V). (C526.)

At the time of OOCL’s violations under Counts I-V of the Shipping Act, the Shipping Act’s prohibition on retaliatory conduct was subject to double reparations under 46 U.S.C. Section 41305(c). (C801 (citing *OJ Commerce*, 2024 WL 4034610, at *24-25 (citing 46 U.S.C. § 41305(c)).) The Commission has the authority to award such double damages pursuant to its civil penalties authority under 46 C.F.R. Section 502.603(b). (C802 (citing *OJ Commerce, LLC*,) Under 46 C.F.R. Section 502.603(b), OOCL is liable for double damages because its conduct resulting in harm to BBY was “knowing and willful” and OOCL acted with “reckless disregard or plain indifference to the Shipping Act, or purposeful or obstinate behavior akin to gross negligence.” (C803 (citing *OJ Commerce, LLC*, (quoting *Rose Int’l Inc.*, 2001 WL 865708, at *47.)

Under this standard, the Presiding Officer must consider OOCL’s “degree of culpability,” “history of prior offenses,” and “ability to pay.” (C804 (citing *OJ Commerce, LLC*, 2024 WL 4034610, at *17 (quoting 46 C.F.R. § 502.603(b)).)

The conduct described above demonstrates that OOCL acted with a high degree of culpability. (C805.) As to OOCL’s history of prior offenses, OOCL is currently the respondent in

two other cases before the FMC based *inter alia* on violations of 46 U.S.C. §§ 41102(c) (as to improper detention and demurrage charges), 41104(a)(10), and 41104(a)(3). (C806.)

There is no evidence supporting a contention that OOCL would be unable to pay a reward of double damages. (C807.)

Accordingly, BBY is entitled to a doubling of the reparations due to it under Count I as to shortfalls (\$19,563,799.79, *supra* Arg.VI.A) and PSS/premium charges (\$6,623,453.00, *supra* Arg.VI.A) for the 2021 Shipping Year and all D&D Charges post-dating October 18, 2021 (\$5,093,099.34, *see* McCown Report Appendix C at 25-84), amounting to a total of \$31,280,352.13 in additional reparations. (C808.)

Additionally, BBY is entitled to a doubling of its lost profits reparations under Count V based on OOCL's unreasonable refusal to deal in the additional amount of \$44,906,060.97.

([REDACTED] ; C809 (citing *OJ Commerce*, 2024 WL 4034610, at *24-26 (doubling the lost profits calculations based on respondent's retaliatory decision to withhold MQC from complainant)).)

E. Count V (“Unreasonable refusals to deal or negotiate”)

As to Count V, BBY is entitled to reparations from OOCL in the amount of \$44,906,060.97. (C810.) Based on OOCL's knowingly improper decision to rescind, during negotiations, its repeated offer to maintain BBY's 2021-2022 MQC for the 2022-2023 shipping year, and instead reduce BBY's MQC by [REDACTED] following protected conduct by BBY, *supra* [REDACTED] OOCL caused BBY injury that, if calculated using the approach approved by the FMC in *OJ Commerce* (i.e., multiplying the improper MQC reduction by the shipper's average profits per container), would total lost profits of \$44,906,060.97. (C812.) Moreover, because this injury was inflicted as part of OOCL's retaliatory conduct, such lost profits damages

are entitled to statutory doubling pursuant to the former 46 U.S.C. Section 41104(a)(3). (*Supra* Arg.IV.D; C812.1.)

F. Lost Profits

During the 2020 and 2021 Shipping Years, OOCL's failure to honor its service commitments to BBY under the Service Contracts resulted in cargo space shortfalls totaling 1,987.41 FEUs. As detailed above, BBY has quantified its damages arising from such conduct using the approach endorsed by the FMC in *MCS Industries*, based on the difference between what BBY should have been able to pay OOCL for ocean carriage pursuant to its Service Contracts and what it actually had to pay other carriers during the terms of those Service Contracts for ocean carriage between lanes that were supposed to be covered by those Service Contracts as OOCL was falling short on its service commitments. If, however, the Presiding Officer were instead to employ the damages approach endorsed by the FMC in *OJ Commerce*, using BBY's average profit per container of \$66,924.07, the reparations due to BBY for OOCL's cargo space shortfalls during the 2020 and 2021 Service Contract years would total \$133,055,566. (C813.)

The Supreme Court has affirmed that lost profits derived from being "unjustly and illegally denied shipping space" is a loss that "is real and it is certainly compensable under the Shipping Act." (C815 (quoting *Consolo v. FMC*, 383 U.S. 607, 626 (1966) (holding it was error on the part of the Court of Appeals to reverse the Commission's award of reparations)).) For BBY to show actual damages "does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained." (C816 (quoting *Mavl Capital*, 2022 WL 2209421, at *3; see also *Tractors & Farm Equipment Ltd. v. Cosmos Shipping Co.*, FMC Docket No. 81-57, 26 S.R.R. 788, 798-99 (ALJ Nov. 23, 1992), admin. final (Dec. 31, 1992) ("the amount [of damages] can be based on something less than precision but something based on a **reasonable approximation** supported by evidence and by reasonable inferences.")) (emphasis added)).)

“Regarding claims for lost profits, there must be *reasonable certainty* so that the court can be satisfied that the wrongful act caused the loss of profits.” (C817 (quoting *Tractors & Farm Equipment Ltd.*, 26 S.R.R. at 798-99 (emphasis added)).) As recently recognized by the Presiding Officer and unanimously affirmed by the Commission in *OJ Commerce*, lost profits can be determined by calculating the average profits per container of the shipper’s cargo actually carried in the relevant time period multiplied by the shortfall of containers that the carrier failed to carry. (C818.)

BBBY’s calculations of average revenue and profit per container are established with reasonable certainty. (C819 (citing *Tractors & Farm Equipment Ltd.*, 26 S.R.R. at 798-99.)) These calculations of BBBY’s lost profits are based on actual shipments and profits recorded from May 1, 2020, the start date of the 2020 Service Contract, to April 30, 2022, when the 2021 Service Contract concluded. (C530.) Rick Cunniff, BBBY’s former Senior Director of Financial Analysis, gathered data from multiple sources, including detailed records of shipped containers, product markups, and sales figures, and created a spreadsheet detailing container profitability during the relevant time period (Dep. Ex. 401, the “Lost Profits Analysis”). (C531.) Cunniff verified the Lost Profits Analysis spreadsheet’s accuracy by cross-referencing the quantity of goods shipped over time against financial reports on imports. (C532.)

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] Cunniff explained his

methodology for calculating average profit per container, starting with an FOB log file from BBY's Logistics Team. (C535.) Cunniff matched this data to a table using purchase order numbers to identify containers received within a specific timeframe. (C536.) Cunniff then pulled shipment details, including containers and SKU information about their contents, from the PO shipment report. (C537.) Cunniff then matched shipment details with receiver information. (C538.) Cunniff then attached container costs and categorized the data into two groups: items received within 60 days and those received after 60 days, to achieve a more accurate approximation of BBY's profits per container. (C539.) Finally, Cunniff subtracted the landed cost of goods sold, which covered both purchase costs and freight expenses. (C540.)

BBY has provided sufficient evidence to reasonably infer the measure of its lost profits associated with OOCL's conduct. (C820.) OOCL's expert, Steffen, who was not tasked with forming any opinions about BBY's lost profits claim, independently addressed lost profits in his report. (C541.) Steffen, relying on documents selected by OOCL's counsel, testified that he had not seen evidence of profit margins for BBY's goods in specific containers. (C542.) However, during his deposition in this action, BBY counsel walked Steffen through Cunniff's lost profits analysis spreadsheet, during which questioning Steffen conceded that the information necessary to calculate BBY's lost profits was, in fact, reflected in Cunniff's spreadsheet. (C543.) Steffen lacks experience or expertise regarding the FMC rules, guidance, or actions concerning lost profits claims. (C544.) While Steffen argued that BBY "did not have any profits to lose" in light of its descent into bankruptcy, that opinion crumbled during his deposition, as Steffen conceded that companies with operating losses prior to bankruptcy can still pursue lost profits claims. (C545.) Accordingly, OOCL has failed to identify any specific issues with the detailed data used in BBY's lost profits analysis.

CONCLUSION

For the foregoing reasons, BBY respectfully requests that the Presiding Officer in this case:

1. Find in favor of BBY on its claims under 46 U.S.C. §§ 41102(c), 41104(a)(2), 41104(a)(3) (now codified at 46 U.S.C. § 41102(d)), and 41104(a)(10), and 46 C.F.R. § 545.5;
2. Award BBY reparations for its actual injuries as detailed herein pursuant to 46 U.S.C. § 41305, including doubling certain of the reparations under 46 U.S.C. §§ 41104(a)(3) (now codified at 46 U.S.C. § 41102(d) and 41305(c), plus interest at commercial rates compounded from the date of injury pursuant to 46 U.S.C. § 41305(a), BBY's reasonable attorneys' fees as "the prevailing party" pursuant to 46 U.S.C. Section 41305(e), and any other sum the FMC determines to be proper; and
3. Grant BBY such further relief that the Presiding Officer deems just and proper.

Dated: December 13, 2024

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/s/ J. Lee Hill

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Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited by emailing copies of the document to their counsel of record listed below:

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